

	Development and Production Operations Service CONTRACT for Sohrab Oil Field Wellpad Construction (3,4,8) Tender No.: SO-004-00082-03	 DanaEnergy
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SECTION 2

TERMS AND CONDITIONS OF CONTRACT

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ARTICLE 1 – DEFINITIONS

The following definitions shall be used for the purpose of interpreting the CONTRACT. Further definitions not contained in this Article shall apply to the Section in which they are stated and subsequent Sections.

"ACTIVITIES" shall mean the events and fulfilments to achieve WORK as described in the CONTRACT and such therein and "ACTIVITY" means any one of them.

"AFFILIATE" shall mean any company or legal entity which (i) controls a PARTY, or (ii) is controlled by a PARTY, or (iii) is controlled by a company or legal entity which controls a PARTY. "CONTROL" means the right to exercise, either directly or indirectly, Fifty percent (50%) or more of the voting rights in such company or legal entity.

"AGENCY PERSONNEL" shall include:

- (a) Those CONTRACTOR PERSONNEL or SUBCONTRACTOR personnel who are not direct employees of the CONTRACTOR or a SUBCONTRACTOR but who are working under the direct control and supervision of the CONTRACTOR or a SUBCONTRACTOR.
- (b) Those COMPANY PERSONNEL who are not direct employees of the COMPANY or who are working under the direct control and supervision of the COMPANY.
- (c) All AGENCY staff and consultants

"APPROVALS" shall mean all permits, licences, approvals, consents and other forms of authorisations all in writing, signed by authorized person(s), which are to be obtained in connection with the WORK.

"CALL OUT ORDER" shall mean the written instruction issued by COMPANY to CONTRACTOR for required service.

"COMMENCEMENT DATE" shall have the meaning ascribed to it in Section 1 – Form of Agreement. CONTRACTOR shall complete all pre-requisite activities for executing the WORK in the EFFECTIVE DATE/ COMMENCEMENT DATE.

"COMPANY" shall mean Dana Petro Sohrab, or any of its permitted assignee or assignees of any rights and obligations hereunder.

"COMPANY GROUP" shall mean NIOC, COMPANY, its and their respective AFFILIATE(s) and its and their respective directors, officers and employees (including AGENCY PERSONNEL), but shall not include any member of the CONTRACTOR GROUP.

"COMPANY PERSONNEL" shall mean all individuals whether employees of the COMPANY or not, who are directly engaged in the WORK under the direct supervision of the COMPANY and are not CONTRACTOR PERSONNEL.

"COMPANY REPRESENTATIVE" shall mean the person set out in Section 5 – Administration Instructions and as set out in Article 3 – COMPANY REPRESENTATIVE of Section 2 –Terms and Conditions of CONTRACT.

"COMPANY ITEMS" shall mean equipment, facilities, appliances, tools, spare parts, materials, consumables and supplies that are provided by the COMPANY in accordance with this CONTRACT for the performance of the WORK.

"COMPLETION" shall mean that whole of the WORK is completed and satisfactorily passed the necessary tests and/or inspections prescribed in the CONTRACT.

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"CONTRACT" shall have the same meaning as described in Section 1 - Form of Agreement.

"CONTRACT PRICE" shall mean the price indicated in Section 1 - Form of Agreement and calculated in accordance with Section 3 – Schedule of Rates and Prices. For avoidance of doubt, CONTRACT PRICE shall include any succeeding VARIATION ORDERS or amendments made to the CONTRACT, according to terms and conditions of CONTRACT.

"CONTRACTOR" shall mean the entity with whom the COMPANY enters into CONTRACT and by whom the WORK is being performed.

"CONTRACTOR GROUP" shall mean the CONTRACTOR, its and their AFFILIATE(s), its and their respective directors, officers and employees (including AGENCY PERSONNEL), but shall not include any member of the COMPANY GROUP.

"CONTRACTOR PERSONNEL" shall mean all individuals whether employees of the CONTRACTOR or not, directly engaged on the WORK under the direct supervision and responsibility of the CONTRACTOR and shall include AGENCY PERSONNEL employed by the CONTRACTOR.

"CONTRACTOR REPRESENTATIVE" shall mean that person set out in Section 5 – Administration Instructions and as set out in Article 4 - CONTRACTOR REPRESENTATIVE of Section 2 –Terms and Conditions of CONTRACT.

"CONTRACTOR's EQUIPMENT" shall mean any and all equipment to be provided by CONTRACTOR as required for performance of the WORK.

"DATA" shall mean all data, information, drawings, specifications, requisitions, project specific calculations, maps, reports, studies, statements, accounts, forecasts, tapes, discs, cores, computer software programs outputs and printouts, analysis, evaluations and all other documents, howsoever stored or recorded.

"DEFECTS CORRECTION PERIOD" shall mean the period of time set out in Section 1– Form of Agreement in accordance with Article 20 - DEFECTS CORRECTION PERIOD of this Section 2 –Terms and Conditions of CONTRACT.

"EXECUTION PLAN" shall mean the document prepared in accordance with the requirements of Section 4 - Scope of WORK, containing full details of the arrangements and methods which the CONTRACTOR will use for the execution of the WORK and has been acknowledged by the COMPANY as the current EXECUTION PLAN, as may be updated by the CONTRACTOR with the COMPANY's review and acknowledgement from time to time, in accordance with Article 15 - EXECUTION PLAN.

"EFFECTIVE DATE" shall have the meaning ascribed to it in Section 1 – Form of Agreement.

"FACILITIES" shall mean the works required to be constructed under the terms of the CONTRACT.

"FINAL ACCEPTANCE CERTIFICATE" shall mean the certificate in the format of Appendix 5-16, Section 5 – Administration Instruction signed by COMPANY and delivered to CONTRACTOR certifying that the WORK has been satisfactorily accepted by the COMPANY.

"FIELD" shall mean Sohrab Oil field wherein the site and CONTRACT area and Facility area is located as stipulated in Section 4 – Scope of WORK.

"FORCE MAJEURE" shall mean any of the events specified in Article 17 - FORCE MAJEURE.

"GOVERNING LAW" shall have the meaning ascribed to it in Article 35.7 - Governing Law.

"GROSS NEGLIGENCE" shall mean any act or failure to act, whether sole, joint or concurrent, which was intended to cause, or was in reckless disregard of, or want on indifference to harmful, avoidable and foreseeable consequences.

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"ITEMS" shall mean the equipment (including, but not limited to: machinery, appliances, instruments, and tools; vehicles and plant equipment; and spare parts and consumable items); facilities (including, but not limited to: wells; offices; laboratories; accommodation; vehicle parking areas; storage areas, pipe yards and warehouses; roads; and quarries and mines; and, all other Sites, structures, and land); animals and plants; materials and other supplies; and the services and work; all as are provided, used, or operated, whether owned or leased, in connection with this CONTRACT.

"JOB SPECIFICATION" shall mean the activities and requirements described in following Sections:

- Section 4 - Scope of WORK
- Section 5 - Administration Instructions
- Section 6 - HSE
- Section 7 - Quality Management
- Section 8 - Technical Specifications and Drawings
- Section 9 - Tender Bulletins

"KEY DATE" for an ACTIVITY shall mean the date by which the CONTRACTOR is required to complete the ACTIVITY as may be adjusted from time to time in accordance with Article 13 - VARIATION ORDERS.

"KEY PERSONNEL" shall mean those positions specified as such in Section 4 – Scope of WORK and/or Section 5 – Administration Instructions.

"LAND ACQUISITION" shall mean, payment of governmental charges, penalties, etc. and/or acquirement of required permits from respective authorities by the COMPANY for land plots within the CONTRACT area for execution of the WORK. Acquired land shall mean a land for which governmental charges, penalties, etc. has been paid and/or required permits has been acquired from respective Authorities by the COMPANY for it.

"LIQUIDATED DAMAGES" shall mean the amount payable by CONTRACTOR to COMPANY due to CONTRACTOR's failure to fulfil his obligation pursuant to CONTRACT as described in Article 38 - LIQUIDATED DAMAGES.

"LOCAL BASE" shall mean a base set up primarily to support the WORK which CONTRACTOR may close down at the termination or expiry of CONTRACT.

"MANUFACTURER" is the entity responsible for the manufacture of the equipment (not necessarily the VENDOR/BIDDER).

"MATERIALS" shall mean any machinery, equipment, materials, supplies and other items (including the spare parts, first fills, testing equipment, special tools, in accordance with the JOB SPECIFICATION), incorporated or intended to be incorporated in the WORK under the CONTRACT.

"MECHANICAL COMPLETION" Mechanical Completion is achieved upon completion and acceptance of the tests carried out during PRECOMMISSIONING and that all construction and installations are successfully completed in full compliance with CONTRACT, specifications, drawings, Procedures, Inspection and Test Plan's (ITP) test sheets and Checklists, etc.

"NEGLIGENCE", shall mean a careless mistake or act of unintentional results in harming others.

"NIOC" shall mean the National Iranian Oil Company.

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"PRE-COMMISSIONING" Pre-commissioning is a series of inspections and tests, generally static, to check the functionality of components and systems. Pre-commissioning includes but not limited to, flushing, blowing, hot loop checks, solo runs, final alignment checks, belting alignment check, energized ICSS functional tests, utility systems, air compressors, emergency diesel generators, lightings, Discipline Acceptance Tests, etc.

"PROJECT" means the Development and Production Operations of Sohrab Oil Field and any related facilities, or any part thereof, to be constructed by the COMPANY at Sohrab Oil Field in Iran as more specifically described in the CONTRACT.

"PROVISIONAL ACCEPTANCE" shall mean certification by COMPANY that the production test of the relevant part of the WORK has been satisfactorily completed with the cleared punch list. During this period, CONTRACTOR shall demonstrate that the result of the WORK can achieve the continuous Seventy-Two (72) hours performance test at designated acceptance criteria set by COMPANY in Section 4 – Scope of WORK.

"PROVISIONAL ACCEPTANCE CERTIFICATE" shall mean the notice, provided by COMPANY certifying PROVISIONAL ACCEPTANCE.

"RELATED WORK" shall have the meaning as set out in Article 12.2 (a).

"KEY DATES" shall mean the schedule of ACTIVITIES and KEY DATES set out in Section 1 – Form of Agreement, together with amendments to any or all of such dates as may be made from time to time in accordance with Article 13 - VARIATION ORDERS.

"SSO" shall stand for Iranian Social Security Organization.

"SUBCONTRACT" shall mean any contract between the CONTRACTOR and any party as approved in writing by COMPANY (other than the COMPANY or any employees of the CONTRACTOR) for the performance of any part of the WORK.

"SUBCONTRACTOR" shall mean the party as approved in writing by COMPANY (other than the CONTRACTOR) to a SUBCONTRACT.

"TECHNICAL INFORMATION" shall mean all such information provided by COMPANY in the CONTRACT or caused to be provided by the COMPANY pursuant to the CONTRACT.

"VAT" shall mean Iranian Value Added Tax.

"VENDOR" shall mean any party (other than the CONTRACTOR and its SUBCONTRACTOR) that provides the CONTRACTOR with equipment.

"WILFUL MISCONDUCT", shall mean a deliberate act or omission which is contrary to or goes beyond the conduct to be expected of a party, where such party knows that or is reckless to the fact that such act or omission is contrary to or goes beyond the conduct to be expected of them.

"WORK" shall mean all work to be carried out including all ITEMS and services and responsibilities and undertaking to be rendered by the CONTRACTOR in accordance with the CONTRACT.

"WORKSITE" shall mean the actual place or places where WORK is to be performed in accordance with the CONTRACT.

ARTICLE 2 – INTERPRETATION OF THE CONTRACT

- 2.1 All instructions, notices, agreements, authorisations, APPROVALS and acknowledgements shall be in writing. All such documentation together with all

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correspondence and other documents shall be in the English language unless otherwise instructed by COMPANY.

- 2.2 Unless the context requires otherwise, any reference in the CONTRACT to:

Day, daily, month, monthly, quarterly, year, yearly, annual or annually and any other references to time shall be construed by reference to the Gregorian calendar and any reference to day or daily shall be construed to mean a calendar day, which shall begin at 00:00 hours and end at 24:00 hours in Tehran (local time);

Calendar quarter means a period of three months commencing 1st January, 1st April, 1st July or 1st October in the Gregorian calendar;

Third party means any natural person, company, corporation, firm, partnership, joint venture or association, whether a body corporate or a non-incorporated association of persons, not included within the COMPANY GROUP or the CONTRACTOR GROUP;

Person includes any individual, company, corporation, firm, partnership, joint venture or association, whether a body corporate or an unincorporated association of persons;

Personnel of a PARTY or its AFFILIATES or any third party includes all directors and officers of such party and all persons employed, hired and/or otherwise engaged by such party; and

Responsible, wherever in the CONTRACT, CONTRACTOR is considered responsible, means it is responsible for performance and costs.

- 2.3 Any reference to statute, statutory provision or statutory instrument shall include any re-enactment or amendment thereof for the time being in force.
- 2.4 Words importing the singular include the plural and vice versa, words importing the masculine gender include the feminine and vice versa and words importing persons include firms, partnerships, limited partnerships, trusts or corporations. "Herein", "hereto", "hereof" and similar expressions refer to the CONTRACT. "Includes" and "including" shall be construed to mean includes or including without limitation.
- 2.5 Words including, such as, included and the likes shall be deemed to be completed by the expression but not limited to.
- 2.6 Notify, approve, submit and the likes shall be deemed to be completed by the expression in writing.
- 2.7 Headings are inserted in the CONTRACT for convenience only and shall not affect the construction or interpretation hereof.

ARTICLE 3 - COMPANY REPRESENTATIVE

- 3.1 The COMPANY shall appoint the COMPANY REPRESENTATIVE through an official letter within Ten (10) days from EFFECTIVE DATE in which his/her responsibilities shall be well defined. The COMPANY REPRESENTATIVE shall notify the CONTRACTOR of all information, instructions and decisions of the COMPANY and act on behalf of COMPANY in the limit of his/her authorities.
- 3.2 The COMPANY REPRESENTATIVE shall have access at all reasonable times to the WORKSITE and the CONTRACTOR shall afford every facility for and every assistance in obtaining the right of access.

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- 3.3 The COMPANY shall have the right to change the COMPANY REPRESENTATIVE at any time at its sole discretion and shall notify the CONTRACTOR accordingly and where possible give Thirty (30) day-notice of any change of the COMPANY REPRESENTATIVE.
- 3.4 Only the COMPANY REPRESENTATIVE is authorised to receive on behalf of COMPANY, notifications, information and decisions of the CONTRACTOR under the provisions of the CONTRACT.
- 3.5 The COMPANY REPRESENTATIVE shall have no right/authority to terminate, suspend, assign the CONTRACT, confirm the occurrence of FORCE MAJEURE, approve the VARIATION ORDER, amend the CONTRACT, diminish the CONTRACTOR's obligations and/or change the rights and responsibilities of PARTIES.

ARTICLE 4 - CONTRACTOR REPRESENTATIVE

- 4.1 The CONTRACTOR REPRESENTATIVE shall have the authority to commit the CONTRACTOR to any course of action within the rights and obligations of the CONTRACTOR under the provisions of the CONTRACT and shall notify the COMPANY of all information and decisions of the CONTRACTOR under the provisions of the CONTRACT. All notifications, information and decisions from the CONTRACTOR's REPRESENTATIVE shall be as if from the CONTRACTOR and shall commit the CONTRACTOR.
- 4.2 The CONTRACTOR REPRESENTATIVE (who shall be introduced to the COMPANY in official letter) is authorised to receive on behalf of the CONTRACTOR information, instructions and decisions of the COMPANY made under the provisions of the CONTRACT and notification to the CONTRACTOR REPRESENTATIVE shall be deemed to be notification to the CONTRACTOR.
- 4.3 While the WORK is being performed, the CONTRACTOR REPRESENTATIVE shall be readily available to fulfil his responsibilities in accordance with the CONTRACT.
- 4.4 The CONTRACTOR REPRESENTATIVE shall not be replaced without the prior written agreement of the COMPANY to the choice of a successor; such agreement shall not be unreasonably withheld or delayed.
- 4.5 The COMPANY shall have the right to instruct CONTRACTOR to replace the CONTRACTOR REPRESENTATIVE at any time without reason by serving a written notice to CONTRACTOR.

ARTICLE 5 - PERFORMANCE OF THE WORK

- 5.1 The CONTRACTOR shall provide all services for the performance of the WORK as per detailed in Section 4 - Scope of WORK.

The CONTRACTOR shall carry out all of its obligations under the CONTRACT and warrants and undertakes to execute the WORK:

- (a) In a timely, efficient and workmanlike manner;
- (b) With all due care, diligence, speed, prudence, foresight and with the skill to be expected of a reputable contractor experienced in the types of work to be carried out under the CONTRACT;

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- (c) In accordance with all GOVERNING LAW and APPROVALS, including those in force and effect from time to time in Iran;
 - (d) In accordance with the CONTRACT and in accordance with standards, principles and practices which are recognised and generally accepted in the international petroleum industry as appropriate for performance of the WORK;
 - (e) In accordance with the Detailed Time Schedule and the KEY DATES;
 - (f) In accordance with Article 33 - BUSINESS ETHICS; and
 - (g) Such that the WORK is fit for the purposes specified in the CONTRACT with effect that from COMPLETION date (but subject always to the CONTRACTOR's obligations under Article 20 - DEFECTS CORRECTION PERIOD) the WORK shall be free from faulty workmanship and the WORK shall be realised in accordance with the CONTRACT.
- 5.2 MATERIALS or parts thereof provided by the CONTRACTOR shall be fresh product and brand new, of correct design, good quality and workmanship, in accordance with the JOB SPECIFICATION and fit for the intended purpose where a purpose is defined in the CONTRACT or, where no such purpose is defined, fit for its ordinary purpose. CONTRACTOR will not use in the carrying out of the WORK any MATERIALS generally recognised as being deleterious or to be avoided.
- 5.3 The CONTRACTOR shall take full responsibility for the adequacy, stability and safety of all operations and methods necessary for the performance of the WORK.
- 5.4 CONTRACTOR shall receive, preserve and keep COMPANY ITEMS (if any) in good condition as per requirements of CONTRACT.
- 5.5 The CONTRACTOR undertakes to carry out the WORK in each case in such a manner as shall safeguard and protect the COMPANY's interests.
- 5.6 Should CONTRACTOR consider it necessary in order to perform the WORK to contact Iranian Government bodies, the CONTRACTOR shall liaise with COMPANY prior to making such contact.
- 5.7 CONTRACTOR shall provide or cause to be provided at the WORKSITE all MATERIALS and all CONTRACTOR's EQUIPMENT necessary for the completion of the WORK unless specified to be provided by COMPANY under the terms and conditions of CONTRACT.
- 5.8 CONTRACTOR shall be responsible for complying with any and all GOVERNING LAW and procedures with regard to the movement of CONTRACTOR's ITEMS and CONTRACTOR's PERSONEL within Iran.
- 5.9 CONTRACTOR shall use and shall cause SUBCONTRACTORS to use such CONTRACTOR's EQUIPMENT as will be adequate in quality, capacity and number to carry out the WORK in accordance with the CONTRACT.
- 5.10 If, in the opinion of COMPANY, any item or items of CONTRACTOR's EQUIPMENT is no longer adequate in quality, capacity or quantity to carry out the WORK in accordance with the CONTRACT, CONTRACTOR shall, at its own initiative, either make adequate repairs or arrange for immediate replacement or, as the case may be, provide the necessary additional CONTRACTOR's EQUIPMENT at no cost to COMPANY.
- 5.11 In case any item of MATERIALS or part thereof provided by CONTRACTOR is held to constitute infringement of INTELLECTUAL PROPERTY and its use enjoined, the

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CONTRACTOR shall as soon as practicable at its own expense and after consultation with the COMPANY either procure for the COMPANY the right to continue at no cost to the COMPANY using such item of MATERIALS or part thereof or any such process, or replace or procure the replacement of the same with non-infringing item(s) of MATERIALS or process, or modify the same so it becomes non-infringing. The cost or procuring such right, replacement or modification shall be borne by CONTRACTOR.

ARTICLE 6 – RESPONSIBILITIES FOR COMPANY ITEMS

- 6.1 COMPANY shall, at its own expense, provide all such ITEMS, equipment, materials or services as prescribed in the Section 10 –COMPANY ITEMS.
- 6.2 The COMPANY REPRESENTATIVE and the CONTRACTOR REPRESENTATIVE or their nominated representatives shall jointly take a written inventory of all COMPANY ITEMS as of COMMENCEMENT DATE and after COMPLETION or abandonment of WORK, and at any other time at either PARTY's request. in the event of Loss and/or damages of any of COMPANY ITEMS that caused by, due to or attributed to the performance or non-performance of CONTRACT, CONTRACTOR shall be liable at its own cost and account.
- 6.3 Upon receipt of any COMPANY ITEMS, CONTRACTOR shall visually inspect the same with reasonable diligence, verify receipt in writing and shall immediately advise COMPANY of any shortages or defects observed. CONTRACTOR's failure to so advise COMPANY shall constitute acceptance by CONTRACTOR that such items were received by CONTRACTOR in good state of repair and operating condition.
- 6.4 CONTRACTOR shall properly store, protect and account for COMPANY ITEMS and shall maintain records for identification and eventual customs requirements. COMPANY shall not be entitled to any compensation for normal wear and tear resulting from CONTRACTOR's use of COMPANY ITEMS or for consumption of any COMPANY ITEMS. All COMPANY ITEMS not consumed in operations shall remain property of COMPANY. These shall be returned to COMPANY by CONTRACTOR at the expiry or termination of this CONTRACT (or at the suspension if instructed by COMPANY) at a location designated by COMPANY in the same operating condition as when received, subject to reasonable deterioration due to normal wear and tear.
- 6.5 CONTRACTOR, at its expense, shall provide the maintenance required to keep COMPANY ITEMS in good and safe operating condition. In the event such Items require repair work beyond the scope of CONTRACTOR's maintenance or required to be replaced, such repair and replacement shall be for COMPANY's account, subject to prior mutual agreement as to cost. CONTRACTOR shall use its best efforts consistent with generally accepted industry standards to affect such repairs or replacement and COMPANY shall reimburse CONTRACTOR accordingly.

ARTICLE 7 – THE RESPONSIBILITY OF THE CONTRACTOR TO INFORM ITSELF

- 7.1 The CONTRACTOR acknowledges and confirms that the CONTRACTOR has satisfied itself as to the nature of the WORK, including but not limited to the project management, supervision, and procurement services, installation, and all other necessary services, personnel, labour, materials, tools, equipment, consumables and supplies required for

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the performance of the WORK, the correctness and sufficiency of the rates and prices stated in Section 3 – Schedule of Rates and Prices, general and local conditions especially ground, climatic, land opponents and weather conditions, safety requirements, local facilities, environment and industrial matters, GOVERNING LAW and APPROVALS and all other matters which could affect progress or performance of the WORK. Any failure by the CONTRACTOR to take account of matters, which affect the WORK, shall not relieve the CONTRACTOR from its obligations under the CONTRACT.

In addition, the CONTRACTOR shall not in any way be relieved from any obligation under the CONTRACT and shall not be entitled to any VARIATION ORDER or any other payment should any information obtained from COMPANY, before or after the EFFECTIVE DATE, be either incorrect or insufficient or both and shall make its own enquiries as to the accuracy and adequacy of such information and shall be responsible for any errors, omissions or discrepancies therein.

- 7.2 The CONTRACTOR assumes total responsibility for all WORK performed by the CONTRACTOR including WORK which is based upon data and information not contained in the CONTRACT or any conclusions, interpretations or work by the CONTRACTOR in applying the data, information and requirements contained in the CONTRACT.

CONTRACTOR shall have fully checked and verified all aspects of the technical documents listed in Section 8 – Technical Specifications and Drawings, and declared he has fully checked and verified the sufficiency of documents and accepts to take full responsibility for such documents.

ARTICLE 8 - THE RESPONSIBILITY OF THE CONTRACTOR TO INFORM COMPANY

- 8.1 The CONTRACTOR shall notify the COMPANY forthwith of all things, which in the opinion of the CONTRACTOR appear to be deficiencies, omissions, contradictions or ambiguities in the CONTRACT or conflicts with any GOVERNING LAW or APPROVALS. The COMPANY shall review these items and issue the necessary instructions before the CONTRACTOR proceeds with any part of the WORK affected.
- 8.2 In addition to the requirements of Section 6 – HSE, the CONTRACTOR shall notify the COMPANY without delay of any accidents, which occur in connection with the carrying out of the WORK. The CONTRACTOR shall also notify the COMPANY of any other incidents which occur which might affect the carrying out of the WORK or the CONTRACT.
- 8.3 The CONTRACTOR shall notify the COMPANY immediately of any proposed or actual stoppages of the WORK, industrial disputes or other matters affecting or likely to affect the carrying out or COMPLETION of the WORK.
- 8.4 When requested by the COMPANY the CONTRACTOR shall also supply to the COMPANY other information in connection with the WORK relating to industrial relations including but not limited to minimum rates of pay, allowances, amenities, working hours, periods of unpaid leave and overtime.

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ARTICLE 9 - TECHNICAL INFORMATION

- 9.1 The COMPANY shall provide TECHNICAL INFORMATION in accordance with Section 8 – Technical Specifications and Drawings and/or Section 9 - TENDER BULLETINS or as provided elsewhere in the CONTRACT and may during the progress of the WORK issue to the CONTRACTOR such modified or additional TECHNICAL INFORMATION as may be necessary for the proper carrying out and COMPLETION of the WORK and the CONTRACTOR shall comply with the same.

In addition, the COMPANY will, where possible and appropriate, provide such additional information relating to the carrying out of the WORK as may be requested by the CONTRACTOR.

- 9.2 The CONTRACTOR shall give adequate notice of any further TECHNICAL INFORMATION that may be required for the proper carrying out and COMPLETION of the WORK in accordance with the Detailed Time Schedule approved by COMPANY.
- 9.3 CONTRACTOR shall submit to COMPANY for review and comment of any documents, such as sketches, drawings, calculations, reports, recommendations and the like as may be requested by the COMPANY, or the preparation of such is necessary for the proper carrying out and COMPLETION of the WORK. COMPANY shall be afforded the time specified in the CONTRACT (or if no time is specified a reasonable time) to carry out such review so that progress of the WORK is not delayed.
- 9.4 The CONTRACTOR shall maintain at the WORKSITE a complete set of all relevant TECHNICAL INFORMATION together with all other relevant documents and drawings provided by the CONTRACTOR for the purposes of the WORK. Such information shall be made available to the COMPANY REPRESENTATIVE or any other person authorised by either of them at all reasonable times.
- 9.5 The CONTRACTOR shall carry out such checks on TECHNICAL INFORMATION as are specified in the CONTRACT. The COMPANY shall not be responsible for any additional cost and/or delay that result from the CONTRACTOR's omission to complete such checks promptly and properly.
- 9.6 When requested by the COMPANY the CONTRACTOR shall, following COMPLETION or termination of all of the WORK, return all copies of TECHNICAL INFORMATION to COMPANY. Notwithstanding the above, the CONTRACTOR may retain One (1) copy of such documents while admitting that the COMPANY has title to all such documents.

ARTICLE 10 - SUBCONTRACTS

- 10.1 The CONTRACTOR shall not subcontract any part of the WORK without the prior written approval of the COMPANY. The aforesaid approval shall not relieve the CONTRACTOR from any liabilities and obligations and responsibilities under the CONTRACT. The CONTRACTOR shall ensure that the rights of the COMPANY and the requirements in the CONTRACT regarding SUBCONTRACTORS are effectively provided for in any SUBCONTRACT. In proposing a SUBCONTRACTOR as provided in Article 10.2 below the CONTRACTOR shall reasonably ensure that such proposal is not detrimental to the interests of the COMPANY.

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- 10.2 Where a SUBCONTRACT is provided for in the CONTRACT or where the CONTRACTOR wishes to enter into a SUBCONTRACT, then before the CONTRACTOR enters into any such SUBCONTRACT, the COMPANY shall be given an adequate opportunity to review the form of the SUBCONTRACT, approve the nominated SUBCONTRACTOR, review the part of the WORK which shall be covered under the SUBCONTRACT, any other details the COMPANY shall request or specify and, insofar as the COMPANY is required to reimburse to the CONTRACTOR the amounts paid to the SUBCONTRACTOR, the cost of the SUBCONTRACT.
- 10.3 The CONTRACTOR shall ensure that SUBCONTRACTORS are capable, experienced, and equipped for the part of the WORK they are to perform and the CONTRACTOR shall be responsible to control, supervise and monitor the performance of the WORK and ensure the compliance with the CONTRACT.
- 10.4 The CONTRACTOR shall be responsible for all work, acts, omissions and defaults of any SUBCONTRACTOR as fully as if they were the work, acts, omissions or defaults of the CONTRACTOR. The CONTRACTOR shall not be relieved of any of its obligations or liabilities under the CONTRACT in respect of any portion of the WORK that may be performed by a SUBCONTRACTOR or by AGENCY PERSONNEL. The CONTRACTOR shall be responsible for the acts and omissions of any SUBCONTRACTOR (including their personnel and representatives) or AGENCY PERSONNEL as if they were his own acts or omissions.
- 10.5 The CONTRACTOR shall, when entering into a SUBCONTRACT, or a purchase order for MATERIALS, obtain warranties as to the quality, quantity and specifications of the MATERIALS, equipment and services provided (including those relating to merchantability, satisfactory quality, and fitness for purpose) from the SUBCONTRACTOR, which shall be enforceable by the COMPANY against the SUBCONTRACTOR.
- The COMPANY (or, if applicable its successor in interest, its assignee or its nominee) shall be entitled to pursue a claim against the SUBCONTRACTOR, under such warranty at any time, in which event the CONTRACTOR shall at its own expense provide the COMPANY (or, if assigned, the COMPANY GROUP or its nominee) with such assistance as may be required in order to enable the claim to be pursued.
- 10.6 The CONTRACTOR has full responsibility for the payment of all salaries, wages, commissions, allowances and other remuneration to the CONTRACTOR's and SUBCONTRACTOR's employees, agents or representatives and to AGENCY PERSONNEL and for the deduction and payment of the applicable taxes, legal, social, union fees and any other burdens there from for remittance to tax, legal, social and other authorities. If the CONTRACTOR or its SUBCONTRACTOR(s) fails to pay wages, salaries or statutory compensation of their employees or CONTRACTOR fails to compensate the SUBCONTRACTOR(s)' services, the COMPANY shall have the right to withhold, from the payments to the CONTRACTOR, an equivalent amount until all such payments are fully settled by the CONTRACTOR.
- 10.7 The CONTRACTOR shall defend, indemnify and hold harmless the COMPANY from and against any liability, claims, and relating cost and expenses arising from any SUBCONTRACT and/or performance of its SUBCONTRACTOR(s).
- 10.8 Without prejudice to the requirements of subcontracting as stipulated in this Article or elsewhere in the CONTRACT, CONTRACTOR shall utilize the below references for nominating potential subcontractors for COMPANY prior approval:

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- (a) Approved NIOC vendor list available at <http://ep.mop.ir> (may referred to as MOP list)
- (b) Approved contractor list administrated by Ministry of Industry, Mine and Trade available at www.tavaniran.ir

The CONTRACTOR shall also ensure that above requirements and references are effectively provided for and addressed in any SUBCONTRACT; otherwise approval shall be obtained from NIOC.

ARTICLE 11 - PERSONNEL OF THE CONTRACTOR

- 11.1 The CONTRACTOR warrants and undertakes that it has and will maintain the experience and capability, including sufficient personnel at all times to ensure efficient and expeditious performance and COMPLETION of the WORK.

All personnel employed on the WORK shall, for the work which they are required to perform be competent, properly qualified, skilled and experienced in accordance with good industry practice. The CONTRACTOR shall verify all relevant qualifications of such personnel. Such personnel shall be subject to COMPANY review and approval prior to being mobilised for the CONTRACT.
- 11.2 KEY PERSONNEL of the CONTRACTOR as specified in the CONTRACT shall not be replaced without the prior written approval of the COMPANY. Any replacement shall work with the person to be replaced for a reasonable handover period.
- 11.3 The CONTRACTOR shall ensure that the KEY PERSONNEL and supervisory personnel of the CONTRACTOR shall read, write and speak fluent English.
- 11.4 The CONTRACTOR shall make its own arrangements for the engagement of personnel, and, save in so far as the CONTRACT otherwise provides, for their transport, housing, maintenance, payment, board and lodging.
- 11.5 The CONTRACTOR is obligated to maximize, to the extent possible, the utilization of local resources in the performance of the CONTRACT. Additionally, the CONTRACTOR is committed to giving priority to local individuals in the employment of its personnel. The CONTRACTOR shall furnish the COMPANY with the necessary reports in this regard as requested by the COMPANY from time to time.
- 11.6 The CONTRACTOR shall be as responsible for any WORK performed by its AGENCY PERSONNEL as if the WORK was performed by the employees of the CONTRACTOR. For the purposes of the CONTRACT, AGENCY PERSONNEL of the CONTRACTOR shall be deemed to be employees of the CONTRACTOR and the responsibilities, indemnities and insurance obligations of the CONTRACTOR shall apply on this basis. The COMPANY shall have the right to review the arrangements for and the terms of the engagement of AGENCY PERSONNEL to ensure that these provisions are being complied with.
- 11.7 The COMPANY may instruct the CONTRACTOR to remove any person engaged in any part of the WORK who in the opinion of the COMPANY is either:
 - (a) Incompetent or negligent in the performance of his or her duties; or
 - (b) Engaged in activities which are contrary or detrimental to the interests of the COMPANY; or

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- (c) Not conforming to relevant safety procedures described in Section 6 - HSE or persists in any conduct likely to be prejudicial to safety, health or the environment.

Any such person shall be removed forthwith from the WORKSITE or the WORK involved. Any person removed for any of the above reasons shall not be engaged again in the WORK or on any other works of the COMPANY without the prior approval of the COMPANY.

The CONTRACTOR shall provide or arrange, as the case may be, for suitable replacement or additional competent personnel for any such person within Twenty-Four (24) hours or such longer time as may be agreed by the COMPANY. Any costs incurred in connection with such matter shall be for CONTRACTOR's account. COMPANY shall also have the right to nominate or introduce an alternative person for replacement.

- 11.8 The CONTRACTOR shall ensure that all employees of the CONTRACTOR and any SUBCONTRACTOR engaged in the performance of the WORK comply with applicable immigration laws and where required are in possession of a valid work permit for the duration of the CONTRACT. Details of such work permits shall be submitted to the COMPANY prior to the employee being engaged on the WORK.
- 11.9 The CONTRACTOR shall act as an independent contractor with respect to the WORK, and except where the CONTRACT otherwise expressly provides, neither the CONTRACTOR nor any AGENCY PERSONNEL, SUBCONTRACTOR, nor the employees, agents and representatives of any of them shall be deemed to be the employees, agents or representatives of COMPANY.
- 11.10 CONTRACTOR shall have complete control of the personnel engaged in the performance of the WORK and shall ensure that all such personnel, including all SUBCONTRACTORS and their personnel, shall comply with COMPANY's rules and regulations and all GOVERNING LAW and APPROVALS prevailing at the time in question.

ARTICLE 12 - CO-OPERATION WITH OTHERS

- 12.1 The CONTRACTOR shall permit free access to the WORKSITE and the WORK to any representative(s) of COMPANY GROUP, COMPANY REPRESENTATIVE, and to any other persons authorised by them including but not limited to the employees and representatives of other contractors employed by the COMPANY. The CONTRACTOR shall co-operate fully with and afford all reasonable facilities to such persons as maybe from time to time be requested by the COMPANY.
- 12.2
- (a) The CONTRACTOR acknowledges that WORK will be undertaken by others on behalf of the COMPANY in respect of the PROJECT (hereafter referred to as the "RELATED WORK") and that it is of paramount importance that the performance of the WORK is properly co-ordinated with the RELATED WORK.
- (b) The CONTRACTOR shall at all times and otherwise in accordance with the requirements and directions of the COMPANY and without entitlement to a VARIATION ORDER:
- (i) Take all reasonable steps to plan, co-ordinate and program and to the extent physically possible to integrate the performance of the WORK, including the work of

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SUBCONTRACTORS, with the activities of other contractors employed in connection with the design and execution of the RELATED WORK who may be engaged on or near the WORKSITE and in particular liaise, consult and co-operate with all authorized parties responsible for the RELATED WORK including the preparation of joint programmes, method statements, co-ordination drawings and specifications;

- (ii) Attend such co-ordination meetings called by the COMPANY REPRESENTATIVE to plan, review and determine co-ordinated activities for the management of interfaces between the WORK and the RELATED WORK;
- (iii) Plan, programme and perform the WORK so as to minimise any interference with or hindrance of or by the performance of the RELATED WORK;
- (iv) Comply with the reasonable instructions of the COMPANY REPRESENTATIVE as to the coordination of WORK and RELATED WORK;
- (v) Refrain from carrying out any operation on the WORKSITE in a manner that is likely to cause damage or inconvenience to the execution of the RELATED WORK;
- (vi) Take all necessary steps to protect the WORK from accidental damage caused by the RELATED WORK; and
- (vii) Co-operate with the COMPANY and the contractors responsible for the RELATED WORK so as to promote and foster a co-ordinated and integrated approach to the WORK and the RELATED WORK.

ARTICLE 13 - VARIATION ORDERS

13.1 Right of COMPANY to issue Instructions

- (a) The COMPANY shall have the right at any time prior to COMPLETION of WORK, to make changes to the WORK resulting in changes up to plus and/or minus Twenty-five (25) percent of CONTRACT PRICE (Hereinafter referred to as "VARIATION ORDER") and issue instructions to the CONTRACTOR accordingly and the CONTRACTOR shall carry out the activities detailed in the VARIATION ORDER according to the rates and prices set out in Section 3 – Schedule of Rates and Prices. CONTRACTOR shall:
 - (i) Make any revision to the WORK that may include revisions, additions, omissions, modifications, deletions, substitutions, amendments, alterations and changes in quality, form, character, kind, position, dimension, level, scope, or line and changes in any method of construction specified by the COMPANY.
 - (ii) Revise elements of the WORK already completed in accordance with the CONTRACT.
 - (iii) In case of time impact of any variation approved by COMPANY, Re-programme the WORK and reschedule its resource in order to complete the WORK or any part thereof in accordance with any amendment to the Detailed Time Schedule approved by COMPANY, which the COMPANY may require.
- (b) On receipt of any such VARIATION ORDER, the CONTRACTOR shall proceed immediately as instructed even though the amount of any adjustment to the CONTRACT PRICE and/or CONTRACT DURATION as may be applicable, may not have been determined.

Note: Any VARIATION ORDER(s) shall be signed by COMPANY's Managing Director.

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13.2 VARIATION ORDERS Generally

- (a) Prior to instructing or authorising any VARIATION ORDER, the COMPANY may require the CONTRACTOR to submit estimates as described in Article 13.4 below.
- (b) The CONTRACT PRICE and/or CONTRACT DURATION approved by COMPANY shall be subject to adjustment only as a result of a VARIATION ORDER only and if such adjustment is unavoidable and necessitated due the nature of VARIATION ORDER. The CONTRACTOR shall not be entitled to receive a VARIATION ORDER to cover any instruction, decision or act of the COMPANY, which may be made or given in order to ensure that the CONTRACTOR complies with any of its obligations under the CONTRACT.

In addition, any additions to or other modification of the WORK resulting from any of the following shall not entitle CONTRACTOR to an adjustment to the CONTRACT PRICE or CONTRACT DURATION or entitle CONTRACTOR to receive a VARIATION ORDER:

- (i) Any changes to the WORK to the extent attributable to any act or omission of the CONTRACTOR, any CONTRACTOR PERSONNEL and any of its SUBCONTRACTORS;
- (ii) Work resulting from instructions, interpretations, decisions or acts of the COMPANY that are aimed at:
 - (1) Compliance or avoiding failure to comply with the CONTRACT;
 - (2) Compliance with the Business Principles;
 - (3) Rectifying defects or faulty workmanship;
 - (4) Remedying any delay or default on the part of any CONTRACTOR to the extent attributable to any act or omission of the CONTRACTOR, any CONTRACTOR PERSONNEL, or any SUBCONTRACTOR;
- (iii) Work necessary as a consequence of CONTRACTOR's failure to comply with any of its obligations under the CONTRACT.
- (c) A VARIATION ORDER shall in no way affect the rights or obligations of the PARTIES except as expressly provided in that VARIATION ORDER FORM. Any VARIATION ORDER shall be subject to the provisions of the CONTRACT.
- (d) COMPANY shall have the right to instruct the CONTRACTOR and the CONTRACTOR shall have the obligation to carry out the instruction in full, notwithstanding:
 - (i) Rejection by the COMPANY of a request for a VARIATION ORDER made by the CONTRACTOR;
 - (ii) Rejection by the CONTRACTOR of any decision of the COMPANY in respect of any VARIATION ORDER instructed by the COMPANY;
 - (iii) Any VARIATION ORDER the effect of which on CONTRACT PRICE and/or CONTRACT DURATION cannot be determined at the time;
 - (iv) COMPANY has not issued a VARIATION ORDER complying with all the requirements stipulated in Article 13.1 (b);
 - (v) Provided COMPANY instructions are in writing.

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13.3 CONTRACTOR's Right to Request a VARIATION ORDER

- (a) If the CONTRACTOR considers that an occurrence has taken place for which it is entitled to receive a VARIATION ORDER, then as soon as possible but not later than Seven (7) consecutive days after the factor causing the occurrence was known or could reasonably have become known to the CONTRACTOR and before proceeding with any work affected by such occurrence, CONTRACTOR shall request in writing that the COMPANY issue a VARIATION ORDER. Any such request shall include full details of the occurrence including any dates and the Article or Articles of the CONTRACT under which the CONTRACTOR considers itself to be entitled to a VARIATION ORDER. Such occurrences shall include but not be limited to the following:
 - (i) An instruction from the COMPANY, whether contained in drawings or specifications issued by the COMPANY or not, which in the opinion of the CONTRACTOR constitutes an addition to the WORK.
 - (ii) Matters arising under any Article of the CONTRACT in respect of which it is specifically stated in Section 2 –Terms and Conditions of CONTRACT that a VARIATION ORDER will be authorised by the COMPANY.
- (b) If the CONTRACTOR fails to submit requests for VARIATION ORDERS in accordance with the timescale and/or information requirements set out in Article 13.3 (a) and/or fails to provide supporting estimates in accordance with Article 13.3 (a) above and Article 13.4 below respectively then the CONTRACTOR shall forfeit any right to receive such VARIATION ORDER(s) and any rights concerning adjustment to the CONTRACT PRICE and/or CONTRACT DURATION.
- (c) The COMPANY will within a reasonable time of having received a request for a VARIATION ORDER and the supporting estimates give notice to the CONTRACTOR stating either:
 - (i) That the proposed VARIATION ORDER or part thereof is accepted in principle in which case the COMPANY will issue such VARIATION ORDER;

and/or

 - (ii) That what is requested or part thereof is included in the obligations undertaken by the CONTRACTOR under the terms of the CONTRACT and that the request is accordingly rejected;

and/or

 - (iii) That the request or part thereof is rejected for other stated reasons.

Should the CONTRACTOR wish to pursue any request for a VARIATION ORDER or part thereof which has been rejected by the COMPANY, it shall proceed in accordance with the provisions of Article 13.5 below.

13.4 CONTRACTOR's Estimates

Within seven (7) consecutive days of having been requested by the COMPANY in accordance with Article 13.2 (a) above or the CONTRACTOR having requested a VARIATION ORDER in accordance with Article 13.3 (a) above or such longer time as the COMPANY may agree for any specific VARIATION ORDER the CONTRACTOR shall submit to the COMPANY fully detailed estimates prepared on a basis as directed by the COMPANY;

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Such estimates shall include:

- (i) A description of the WORK to be performed under the VARIATION ORDER
- (ii) A Detailed Time Schedule for the execution of the VARIATION ORDER showing the resources to be employed;
- (iii) The effect on the CONTRACT PRICE (if any);
- (iv) The effect on the PROGRAMME and the Detailed Time Schedule (if any).

13.5 Disputed VARIATION ORDERS

- (a) If at any time the CONTRACTOR intends to claim any adjustment to the CONTRACT PRICE and/or CONTRACT DURATION additional to that previously determined by the COMPANY for a VARIATION ORDER issued by the COMPANY or requested by the CONTRACTOR, the CONTRACTOR shall give notice in writing of such intention immediately after the happening of the events giving rise to such claim but not later than Two (2) consecutive days after the event.

Such events shall include but not be limited to the following:

- (i) Rejection by the COMPANY of a request for a VARIATION ORDER made by the CONTRACTOR;
 - (ii) Rejection by the CONTRACTOR of any decision of the COMPANY in respect of any VARIATION ORDER instructed by the COMPANY;
 - (iii) Any VARIATION ORDER where effect on CONTRACT PRICE and/or CONTRACT DURATION cannot be determined at the time.
- (b) Upon receipt by the COMPANY of any such notice of claim, and without necessarily admitting any liability, the COMPANY may instruct the CONTRACTOR to keep such contemporary records or further contemporary records as the case may be as are reasonable and may be material to the claim of which notice has been received and the CONTRACTOR shall keep such records, copies of which shall be supplied to the COMPANY as and when the COMPANY may direct.
- (c) The CONTRACTOR shall send to the COMPANY at the end of every month an account giving particulars, as full and detailed as possible, of all such claims.
- (d) If the CONTRACTOR does not give notices and/or does not submit records and accounts in accordance with the provisions of Articles 13.5(a), 13.5(b) and 13.5(c) above the CONTRACTOR shall forfeit any right to receive any adjustment to the CONTRACT PRICE and/or the CONTRACT DURATION in respect of any such claims.
- (e) Where any matter with respect to adjustments to the CONTRACT PRICE and/or the CONTRACT DURATION has not been finalised and without prejudice to the rights of either the COMPANY or the CONTRACTOR, the COMPANY, having considered the relevant provisions of the CONTRACT and all other relevant factors, will make such adjustments as it considers to be fair and reasonable. The COMPANY will inform the CONTRACTOR of decisions reached in this respect and will make appropriate payments in accordance with such decisions.

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13.6 VARIATION ORDERS in respect of delay and/or additional cost

The COMPANY will authorise a VARIATION ORDER if the CONTRACTOR can objectively show that it has unavoidably suffered delay and/or incurred cost as a direct result of any of the following:

- (a) Failure of the COMPANY to comply with relevant CONTRACT provisions in respect of drawings and/or specifications and/or other information;
- (b) Failure of the COMPANY to comply with relevant CONTRACT provisions in respect of Section 10 –COMPANY ITEMS provided CONTRACTOR can objectively show that it has complied with the requirements set out therein, including timely call off of the items therein;
- (c) Information supplied by the COMPANY for which the COMPANY is specifically liable under the terms of the CONTRACT and which is incorrect, other than information included in the CONTRACT to which the provisions of Article 7 - THE RESPONSIBILITY OF THE CONTRACTOR TO INFORM ITSELF shall apply.

Under any such VARIATION ORDER and provided that CONTRACTOR has complied with the notification requirements set out in this Article 13, the CONTRACTOR will be entitled to such adjustments to the CONTRACT PRICE and the KEY DATES as are fair and reasonable considering all relevant factors including the following:

- (i) Any recovery ordered by the COMPANY to overcome all or part of any delay in accordance with Article 13.1(a);
- (ii) That the CONTRACTOR has an obligation to mitigate the effects of any such failure;
- (iii) That the CONTRACTOR is entitled to recover necessary direct additional cost which includes any necessary additional overheads but not profit.

In the event that specific rates and prices for delay and/or adjustment to the KEY DATES are included in Section 3 – Schedule of Rates and Prices, then such rates and prices shall be used where appropriate to evaluate any adjustment to the CONTRACT PRICE under the provisions of this Article and shall be deemed to represent direct additional cost to the CONTRACTOR as defined herein.

ARTICLE 14 – INSPECTION AND TESTING

- 14.1 COMPANY reserves the right but not the obligation at its own expense to conduct inspection and testing on CONTRACTOR's equipment, MATERIALS, tools, instrument, in accordance with the Section 4 - Scope of WORK, and may appoint a third party for such purposes. CONTRACTOR shall provide the necessary assistance to COMPANY PERSONNEL or its appointed third party who will undertake the inspection. All costs associated with the provision of personnel by CONTRACTOR in providing such assistance will be borne by CONTRACTOR.

ARTICLE 15 – EXECUTION PLAN

- 15.1 The CONTRACTOR shall submit to COMPANY a document giving full details of the arrangements and methods which the CONTRACTOR proposes to adopt for the execution of the WORK in accordance with COMPANY's requirement and instruction. This document

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for the execution of the WORK shall become the EXECUTION PLAN where it complies with the requirements of the CONTRACT and when acknowledged as such by the COMPANY.

- 15.2 The CONTRACTOR shall execute the WORK strictly in accordance with the EXECUTION PLAN.
- 15.3 In order to consider VARIATION ORDERS and the actual progress of the WORK, the CONTRACTOR shall, from time to time and also on the request of the COMPANY produce a revised document for the execution of the WORK showing modifications to the EXECUTION PLAN necessary to complete the WORK in accordance with the CONTRACT and inform the COMPANY of details of the changes. After review by the COMPANY and if the CONTRACTOR has complied with the requirements of the CONTRACT, the COMPANY shall acknowledge the revised document for the execution of the WORK as a replacement of the document that previously formed the EXECUTION PLAN. The revised document for the execution of the WORK shall then be the EXECUTION PLAN. There shall only be one EXECUTION PLAN at any one time.

ARTICLE 16 – SUSPENSION

- 16.1 The COMPANY shall have the right, by notice to the CONTRACTOR, to suspend the WORK or any part thereof to the extent detailed in the notice, for any of the following reasons:
- (a) Subject only to Article 16.3 below, in the event of some default on the part of the CONTRACTOR; or
 - (b) In the event that suspension is necessary for the proper execution or safety of the WORK, or persons; or
 - (c) To suit the convenience of the COMPANY.
- 16.2 Upon receipt of any such notice, the CONTRACTOR shall, unless instructed otherwise:
- (a) Discontinue the WORK or the part of the WORK detailed in the notice, on the date and to the extent specified; and
 - (b) Properly protect and secure the WORK as required by the COMPANY; but shall continue to perform any such WORK not detailed in the notice.
- 16.3 In the event of default on the part of the CONTRACTOR and before the issue by the COMPANY of a notice to suspend the WORK or any part thereof the COMPANY shall give notice of default to the CONTRACTOR giving details of such default. If the CONTRACTOR, upon receipt of such notice, does not commence and thereafter continuously proceed with action satisfactory to the COMPANY to remedy such default the COMPANY may issue a notice of suspension in accordance with the provisions of Article 16.1.
- 16.4 Unless the suspension arises as a result of default on the part of the CONTRACTOR, the CONTRACT PRICE and Detailed Time Schedule shall be adjusted in accordance with the provisions included in Section 3 – Schedule of Rates and Prices or, in the absence of such provisions, in accordance with Article 13 - VARIATION ORDERS, but in no event will the CONTRACTOR be entitled to an adjustment to the CONTRACT PRICE greater than the aggregate of all reasonable and direct costs incurred by the CONTRACTOR by reason of such suspension to the extent that CONTRACTOR cannot reduce or mitigate them by exercising best endeavours to do so.

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- 16.5 If suspension results from default on the part of the CONTRACTOR, any costs incurred by the COMPANY as a result shall be recoverable by the COMPANY from the CONTRACTOR.
- 16.6 The COMPANY may, by further notice, instruct the CONTRACTOR to resume the WORK to the extent specified. WORK shall be resumed promptly by CONTRACTOR after receipt of such notification.
- 16.7 In the event of any suspension, the COMPANY and the CONTRACTOR shall meet at not more than seven (7) day intervals with a view to agreeing a mutually acceptable course of action during the suspension.
- 16.8 If the period of any suspension not arising as a result of default on the part of the CONTRACTOR exceeds the period stated in Section 1 – Form of Agreement, Article 3, the CONTRACTOR may serve a notice on the COMPANY requiring permission within Thirty (30) days from the receipt of such notice to proceed with the WORK or that part thereof subject to suspension. If within the said Thirty (30) days the COMPANY does not grant such permission the CONTRACTOR, by a further notice, may (but is not bound to) elect to treat the suspension:
- (a) Where it affects part only of the WORK, as an omission of such part under Article 13 -VARIATION ORDERS; or
 - (b) Where it affects the whole of the WORK, as termination in accordance with Article 18.1(a).

ARTICLE 17 - FORCE MAJEURE

- 17.1 FORCE MAJEURE shall mean any circumstance or event beyond the reasonable control of, and unanticipated or unforeseeable by, the PARTY claiming to be affected by such event which prevents, hinders or delays the performance of the CONTRACT by that PARTY. FORCE MAJEURE includes, but not limited to Acts of God, unavoidable accidents, acts of war (declared or undeclared) but not includes the unavailability of funds. No failure or omission by either PARTY to carry out or to perform any of the terms or conditions of the CONTRACT shall give the other PARTY a claim against such PARTY or be deemed a breach of the CONTRACT, if and to the extent that such failure or omission arises as a result of FORCE MAJEURE.
- 17.2 Where a PARTY is claiming suspension of its obligations on account of FORCE MAJEURE, it shall promptly, but in no case later than Seven (7) days after the alleged occurrence of the event of FORCE MAJEURE, notify the other PARTY in writing giving full particulars of the FORCE MAJEURE, the estimated duration thereof, the obligations affected and the reasons for its suspension. The obligations of the affected PARTY shall only be suspended during the period for which the performance of such obligations was prevented, hindered or delayed because of FORCE MAJEURE, provided that (i) the affected PARTY shall take all necessary care and actions to protect the equipment and works completed and/or in progress and (ii) the concerned PARTY shall exercise reasonable diligence to mitigate the effects thereof on the performance of its obligations under the CONTRACT, and within its power to overcome or remove FORCE MAJEURE. The period during which the performance of the CONTRACT by the affected PARTY is prevented, hindered or delayed shall be added to any relevant period fixed by the CONTRACT. Upon cessation of the FORCE MAJEURE event, the PARTY no longer affected shall promptly notify the other

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PARTY and immediately thereafter the PARTIES shall resume and perform their obligations under the CONTRACT.

- 17.3 The PARTY asserting the claim of FORCE MAJEURE shall bear the burden of proving that the circumstances constitute valid grounds of FORCE MAJEURE under this Article 17 - FORCE MAJEURE and that such PARTY has exercised reasonable diligence and efforts to remedy the cause of any alleged FORCE MAJEURE.
- 17.4 Notwithstanding anything contained herein above, if an event of FORCE MAJEURE occurs and is likely to continue for a period in excess of Thirty (30) days, the PARTIES shall meet to discuss the consequences of the FORCE MAJEURE and the course of action to be taken to mitigate the effects thereof or the course to be adopted in the circumstances.
- 17.5 If the aforesaid FORCE MAJEURE persists for more than Three (3) months, then either PARTY is entitled to notify the other PARTY of CONTRACT TERMINATION by providing a Fifteen (15)-days in advance notice.

ARTICLE 18 - TERMINATION

- 18.1 The COMPANY shall have the right by giving notice to terminate all or any part of the WORK and or CONTRACT at its sole decision extra judicially at such time or times as the COMPANY may consider necessary for any or all of the following reasons:
- (a) To suit the convenience of the COMPANY (without cause at any time);
 - (b) In the event that CONTRACTOR fails to comply with the terms and conditions of the CONTRACT, at COMPANY's sole discretion, including but not limited to any of the followings:
 - (i) The CONTRACTOR abandons or repudiates the CONTRACT;
 - (ii) The CONTRACTOR fails to commence the WORK or to continuously proceed with the WORK after the COMMENCEMENT DATE; immediately;
 - (iii) The CONTRACTOR fails to submit proposals to the COMPANY and take such steps as are necessary to expedite progress in accordance with Article 15.3 evidencing to the COMPANY's reasonable satisfaction that the CONTRACTOR will perform and complete the WORK in accordance with the Detailed Time Schedule.
 - (iv) Improper WORKS performance and at the same time inability or CONTRACTOR's rejection to correct the defects, substantial or systematic violation of HSE requirements, non-provision of insurance policies to the satisfaction of the COMPANY.
 - (v) LIQUIDATED DAMAGES exceed the specified ceiling in Section 3 – Schedule of Rates and Prices;
 - (vi) The CONTRACTOR assigns the CONTRACT or subcontracts the WORK without having received the required consents under the CONTRACT;
 - (vii) Any one of the CONTRACTOR or any of its constituent entities and guarantors becomes bankrupt or insolvent, goes into liquidation, has a receiving or administration order made against it, compounds with its creditors, or carries on business under a receiver, trustee or manager for the benefit of its creditors, or

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if any act is done or even occurs which under the GOVERNING LAW has a similar effect to any of these acts or events and the other entity is unable to demonstrate to the reasonable satisfaction of the COMPANY that the WORK will not be adversely affected by that insolvency;

(viii) Non-observance by the CONTRACTOR of requirements for Iranian Content.

(c) In the event of the CONTRACTOR being unable to pay SUBCONTRACTORS' PERSONNEL after Forty (40) days overdue which will affect the WORK.

18.2 In the event of CONTRACTOR's default on part of the CONTRACT and before the issue by the COMPANY of an order of termination of all or any part of the WORK, the COMPANY shall give notice of default to the CONTRACTOR giving the details of such default. If the CONTRACTOR upon receipt of such notice and not later than Five (5) days does not commence and thereafter proceed with action satisfactory to the COMPANY to remedy such default the COMPANY may issue a notice of termination in accordance with the provisions of Article 18.1(b) or 18.1(c).

18.3 In the event of the COMPANY giving the CONTRACTOR notice of termination of all or any part of the WORK and or CONTRACT, such notice shall become effective on the date specified therein (or in the absence of any specified date at the date of receipt of the notice) whereupon the CONTRACTOR shall immediately:

- (a) Cease performance of the WORK or such part thereof as may be specified in the notice;
- (b) Allow the COMPANY or its nominee full right of access to the WORKSITE to remove and/or take over the WORK or the relevant part of the WORK so far completed together with all MATERIALS;
- (c) Assign to the COMPANY, or its nominee, to the extent desired by the COMPANY all or the relevant part of the rights, titles, liabilities and SUBCONTRACTS relating to the WORK which the CONTRACTOR may have acquired or entered into;
- (d) Remove all the equipment and materials, other than that required under Article 18.3(b) above, of the CONTRACTOR from the immediate area in which the WORK is being performed unless otherwise instructed by the COMPANY.

Within Thirty (30) days of the effective date of termination, the CONTRACTOR shall (at its own cost) deliver to the COMPANY all the relevant parts respectively of the DATA and TECHNICAL INFORMATION, and originals, copies and reproductions of all drawings, specifications, requisitions, calculations, programme listings, erection plans, schedules, software and all other DATA or documents prepared and/or provided by the CONTRACTOR or any SUBCONTRACTOR.

The COMPANY shall have the right to obtain COMPLETION of the WORK or the relevant part of the WORK by other contractors.

18.4 In the event of termination the whole or part of the WORK in accordance with Articles 18.1(a) above, the CONTRACTOR shall be entitled to be paid only as set out in Section 3 – Schedule of Rates and Prices for the part of the WORK completed and accepted by COMPANY in accordance with the CONTRACT (which in any event shall be no greater than the actual cost incurred by the CONTRACTOR in the performance of the part of the WORK completed in accordance with the CONTRACT, in each case, up to the date of termination).

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18.5 In the event of termination of WORK in accordance with Articles 18.1(b) or 18.1(c) above the following conditions shall apply:

- (a) The CONTRACTOR shall lose its entitlement to receive any money or monies on account of the CONTRACT until the issuance of FINAL ACCEPTANCE CERTIFICATE and the expiration of the last DEFECTS CORRECTION PERIOD specified in Article 20 - DEFECTS CORRECTION PERIOD, whichever comes later (assuming that the COMPLETION date would have been the date specified in the KEY DATES) and thereafter until the costs of COMPLETION of the whole of the WORK and all other costs arising as a result of the CONTRACTOR's default or other events giving rise to the termination have been finally ascertained;
- (b) Thereafter and subject to any deductions that may be made under the provision of the CONTRACT the CONTRACTOR shall be entitled to payment only as set out in Section 3 – Schedule of Rates and Prices for the part of the WORK completed and accepted by COMPANY in accordance with the CONTRACT up to date of termination; and
- (c) (1) Any costs incurred by the COMPANY as a result of the CONTRACTOR's default or other events giving rise to termination, plus Ten percent (10%) as COMPANY extra cost for administration and supervision by whatever method it deems expedient and appropriate, including the use of any other contractors, shall be recoverable from the CONTRACTOR.
(2) COMPANY at its sole discretion, may call the amount of CONTRACTOR's guarantees and retentions including but not limited to Performance Bank Guarantee and Good Performance Guarantee Retention (or equivalent bank guarantee, as the case maybe) as damages sustained.
(3) COMPANY is entitled to being paid for the amount of LIQUIDATED DAMAGES and all other damages shall be compensated.

18.6 In the event of termination under this Article, the CONTRACTOR shall not be relieved of any continuing obligations or liabilities under the CONTRACT or at law.

ARTICLE 19 - START-UP AND PERFORMANCE TEST

19.1 After Commissioning and following the MECHANICAL COMPLETION of the WORK, the CONTRACTOR shall carry out the Start-up and Performance Test to prove that the performed WORK is capable of attaining the Guarantee Parameters specified in the CONTRACT.

In cases when the test is unsuccessful, the CONTRACTOR shall rectify defects and re-run the respective Performance Test. On satisfactory completion of the Performance Test of the WORK, COMPANY will issue the PROVISIONAL ACCEPTANCE CERTIFICATE as per CONTRACT. The Period and details necessary for Start-up and carrying out the Performance Test as well as the conditions for issuance of the PROVISIONAL ACCEPTANCE CERTIFICATE for the WORK shall be specified according to provisions of the CONTRACT.

19.2 In case the CONTRACTOR fails within an additional period which shall not exceed One (1) month from the end of the first Performance Test to carry out the necessary adjustments, repairs, replacements and/or additions, or cannot achieve desired performance in the second or third test within the mentioned additional One (1) month period, then COMPANY shall be entitled to apply the whole amount of LIQUIDATED DAMAGES in accordance with Article 38.7 to the extent of specified cap in the CONTRACT and terminate the CONTRACT.

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19.3 If the non-fulfilment of guarantee parameters is for reasons attributable to the CONTRACTOR such as defective design, deficient technology, bad workmanship, use of wrong materials or non-compliance with specifications, the expenses incurred shall be borne by the CONTRACTOR.

19.4 The PROVISIONAL ACCEPTANCE CERTIFICATE of the WORK shall be issued upon:

- i) the successful completion of all Tests,
- ii) the completion of Performance Test as set forth in the CONTRACT.
- iii) all of the following have occurred:
 - (a) COMPANY has affirmatively notified the CONTRACTOR that COMPANY knows of no further effects and/or deficiencies in the WORK with respect to PROVISIONAL ACCEPTANCE;
 - (b) COMPANY has received all spare parts to be delivered pursuant to CONTRACT, all special tools, all operations, maintenance and spare parts lists and Manuals and all instruction books necessary or advisable to operate the WORK in a safe, efficient and effective manner to the extent stipulated in the CONTRACT.

19.5 Upon successful completion of the Performance Test of the WORK, subject to provision of the above Sub-Clause, COMPANY shall issue a PROVISIONAL ACCEPTANCE CERTIFICATE of the WORK.

19.6 Upon issuance of PROVISIONAL ACCEPTANCE CERTIFICATE of the WORK, the WORK shall be handed over to COMPANY.

ARTICLE 20 - DEFECTS CORRECTION PERIOD

20.1 The CONTRACTOR warrants and guarantees that it shall perform the WORK in accordance with the provisions of the CONTRACT, and that the WORK will be free from defects.

20.2 Upon the issuance of the PROVISIONAL ACCEPTANCE CERTIFICATE of the WORK in accordance with Article 19 - START-UP AND PERFORMANCE TEST, thereafter, in the event that the COMPANY notifies the CONTRACTOR of any defects in the WORK within the DEFECTS CORRECTION PERIOD specified in Section 1 - Form of Agreement, Article 6.5, the CONTRACTOR shall, subject to the operational requirements of the COMPANY, immediately carry out all works necessary to correct any defects in the WORK arising from any performance and/or any probable default or fault of the CONTRACTOR all at the sole cost and expense of the CONTRACTOR.

CONTRACTOR shall keep COMPANY advised of the progress towards completion of the remedial work. COMPANY shall make use of any and all of its contractual measures to collaborate CONTRACTOR reports.

In the event that any of the WORK is re-performed, rectified or replaced by the CONTRACTOR under the provisions of this Article, this Article shall apply to the portion so re-performed, rectified or replaced. The Defects Correction Period specified in Section 1 - Form of Agreement in respect of such work, shall commence on the date upon which such re-performance, rectification or replacement was completed in accordance with the CONTRACT.

20.3 Should COMPANY decide that the carrying out by the CONTRACTOR of work necessary to correct defects will be prejudicial to its interests, the COMPANY may undertake the CONTRACTOR's responsibilities described in Article 20.2 either directly or using another contractor. The COMPANY shall notify the CONTRACTOR in such cases and shall recover

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from the CONTRACTOR all costs incurred by the COMPANY in carrying out such responsibilities.

20.4 Notwithstanding the provisions of Articles 20.2 and 20.3 the CONTRACTOR shall be responsible for correcting any defect in the WORK within the DEFECTS CORRECTION PERIOD when so instructed by the COMPANY at the sole cost and expense of the CONTRACTOR. However, the CONTRACTOR shall not be liable for:

- (a) The costs of maintenance of the WORK; or
- (b) The costs of correcting any such defects that result from the following:
 - (i) Any breach of obligations by the COMPANY, or otherwise any gross negligence by the COMPANY's PERSONNEL in performance of their tasks; or
 - (ii) Ordinary wear and tear;

provided that the CONTRACTOR proves by objective evidence with a sufficient degree of certainty that one or more of Articles 20.4(a) through (b)(ii) apply.

20.5 Should the CONTRACTOR fail to take any action required under Articles 20.2 and 20.4, the COMPANY shall be entitled to take such action or to have such action taken and to recover from the CONTRACTOR the costs thereof or relating thereto.

20.6 The DEFECTS CORRECTION PERIOD shall not expire until the COMPANY has given a written notice, the FINAL ACCEPTANCE CERTIFICATE, to the CONTRACTOR certifying that the CONTRACTOR has remedied any faulty workmanship, defect and/or non-compliance with the CONTRACT.

ARTICLE 21 - TAXES, DUTIES AND EXEMPTIONS

21.1 CONTRACTOR shall be responsible for:

- (a) The payment of all taxes, duties, levies, charges and contributions (and any interest or penalties thereon) for which CONTRACTOR is liable as imposed by GOVERNING LAW whether arising in the country where the WORK is performed or elsewhere and whether or not they are calculated by reference to the wages, salaries and other remuneration paid directly or indirectly to persons engaged or employed by CONTRACTOR; and
- (b) The payment of all taxes, duties, levies, charges and contributions (and any interest or penalties thereon) including but not limited to income, profits, corporation taxes and taxes on capital gains, turnover and Value Added Taxes for which CONTRACTOR is liable; and
- (c) Ensuring that any SUBCONTRACTOR or any other person employed, or providing services on or in connection with the CONTRACT shall comply with this Article.
- (d) Opening the CONTRACT Code from No. 1 Ahvaz SSO Branch and sending the SSO list to the same branch whom will then be responsible for issuing Final Clearance Certificate for the WORK performed.

21.2

- (a) Where, under the provisions of any laws, regulations or directives for the time being in force in Iran, COMPANY is required to withhold any amounts from monies payable to CONTRACTOR, whether as tax, social security charges, or otherwise, COMPANY

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shall so withhold such amounts. With the exception of withholdings on account of Social Security Charges which COMPANY is required by law to provisionally retain, COMPANY shall pay or process any amounts so withheld in accordance with the provisions of the relevant laws or regulations providing for such withholdings. Within One (1) month of making such withholdings or as soon as the COMPANY is in possession of the receipts for same from the relevant authority, whichever event occurs the later, the COMPANY shall hand over to the CONTRACTOR the receipts evidencing the payment by the COMPANY of such withholdings if so requested by the CONTRACTOR. Deductions on account of Social Security Charges shall only be released in favour of the CONTRACTOR when it presents the COMPANY with the official clearance from the Social Security Organisation relating to the CONTRACT and showing the gross value of invoices on which, such deductions had been made.

(b) Where CONTRACTOR claims to be exempted from any statutory deductions, it shall inform COMPANY and provide any necessary documentation to support its case, including a certificate of exemption from the relevant authority. COMPANY shall act on the information given by CONTRACTOR if it is established for the COMPANY that CONTRACTOR is in fact exempted under LAW from the statutory deduction.

- 21.3 CONTRACTOR shall be responsible for and shall save, indemnify, defend and hold harmless COMPANY GROUP from and against all taxes, duties, levies, charges, including Iranian Social Security Premiums, contributions and taxes of the types referred to in this Article and any interest thereon which may be assessed on CONTRACTOR, its SUBCONTRACTOR or any person employed by CONTRACTOR in connection with the CONTRACT and from all costs incurred in connection therewith.
- 21.4 If a member of COMPANY GROUP is required to pay any taxes, duties, levies, charges, contributions or taxes of the types referred to in this Article and any interest thereon, whether with respect to CONTRACTOR, any SUBCONTRACTOR or any other person employed by CONTRACTOR in connection with the WORK, COMPANY shall have the right to recover from any of CONTRACTOR due amount any such sums and all costs incurred in connection therewith.
- 21.5 Both COMPANY and CONTRACTOR agree to be bound by the provisions of the Iranian Social Security Act Clause 38 regarding the manner of withholding, payment of premiums and submission of payrolls for personnel engaged in the performance of the WORK under the CONTRACT. COMPANY may at regular intervals request CONTRACTOR to provide evidence of compliance with Clause 38 of the Iranian Social Security Act and CONTRACTOR agrees to provide such evidence of compliance in the form of monthly payrolls submitted to the Iranian Social Security Organization along with proof of payment of relevant premiums.
- 21.6 Upon completion of the WORK, CONTRACTOR shall be responsible for obtaining the Final Clearance Certificate (hereafter called FCC) from the Iranian Social Security Organization. Any amount withheld as per Article 21.2 (a) towards Iranian Social Security Premium as required under the Iranian Social Security Act shall be released by COMPANY to CONTRACTOR upon furnishing in Original, the FCC issued by the Iranian Social Security Organization. COMPANY shall have the right to ask CONTRACTOR to provide a copy of FCC in English translated by an authorized translation entity at CONTRACTOR's cost. Even after CONTRACTOR providing FCC to COMPANY, if there is any mistake/discrepancy/ discovered/detected by Social Security Organisation, COMPANY shall have the right to claim the disputed differences from CONTRACTOR and

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CONTRACTOR is bound to pay such differences. COMPANY will deduct the percentage and withhold the last invoice(s) with terms and conditions as indicated in Section 1 – Form of Agreement as SSO deduction.

- 21.7 CONTRACTOR shall pay import and export charges, customs and excise duties imposed in Iran, if any, on the equipment and supplies CONTRACTOR requires for the performance of the WORK in Iran. Except as noted in Articles 21.8, 21.9 and 21.11, COMPANY shall pay directly or reimburse CONTRACTOR for such customs and/ or import duties if CONTRACTOR obtains COMPANY's written approval prior to importing and exporting such equipment and supplies and provided also that CONTRACTOR fully complies with any and all applicable Iranian laws and all instructions issued by COMPANY pertaining to such importation and exportation. CONTRACTOR shall, at its own cost, prepare all customs declarations and any other necessary documentation required for such importation and exportation of such equipment and supplies.
- 21.8 COMPANY shall not be liable to pay any customs and/ or import duties, and the like for CONTRACTOR's EQUIPMENT and supplies which are available in Iran and which meet the requirements of the specification and are competitively priced within same. The provisions of this Article 21.8 shall not apply to imports made in compliance with applicable laws of Iran and with the prior approval of COMPANY as set out in Article 21.7.
- 21.9 COMPANY shall never be liable to pay any import and export charges, duties and the like for the personal effects, food tobaccos, cars and other goods of CONTRACTOR's personnel.
- 21.10 Without prior written approval from COMPANY and without the payment of due taxes to the relevant governmental authorities, CONTRACTOR agrees not to sell, transfer or dispose of, within Iran, any equipment, supplies, materials or spare parts that are assigned to the WORK. Such approval by COMPANY shall, apart from other considerations, be given only on the condition that CONTRACTOR reimburses to COMPANY the amounts of import duties that COMPANY had initially reimbursed to CONTRACTOR pursuant to Article 21.7.
- 21.11 CONTRACTOR shall be liable for import and export charges in the event that CONTRACTOR fails to follow the instructions given by COMPANY.
- 21.12 Under no circumstances shall the COMPANY reimburse the CONTRACTOR for any penalties or other punitive charges paid or borne by the CONTRACTOR and imposed by the government departments responsible for collecting the taxes and social security charges and other charges and duties discussed under this Article 21 - TAXES, DUTIES AND EXEMPTIONS as a result of the CONTRACTOR failing to conform with statutory requirements, such as non-filing or late filing of documents, or non-payment or late-payment of the said taxes, social security charges, duties and others, or as a result of any other circumstance whatsoever.
- 21.13 The COMPANY shall have the right to verify that taxes, social security charges, duties, levies and fiscal contributions are regularly and duly paid by the CONTRACTOR as required in Iran.

ARTICLE 22 - TERMS OF PAYMENT

- 22.1 In consideration for the performance and of the WORK, the COMPANY shall pay or cause to be paid to the CONTRACTOR the amounts provided in Section 3 – Schedule of Rates and Prices in the manner specified in Section 3 and in this Article.

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- 22.2 Except where it is expressly provided that the COMPANY shall carry out an obligation under the CONTRACT at its own cost, all things required to be supplied or performed by the CONTRACTOR under the CONTRACT shall be deemed to be included in the rates and prices in Section 3 – Schedule of Rates and Prices.

Without limitation all obligations of the CONTRACTOR pursuant to the provisions of Article 20 - DEFECTS CORRECTION PERIOD shall be performed by the CONTRACTOR at its sole cost and expense, subject to any applicable provision of the CONTRACT.

- 22.3 The CONTRACTOR shall submit to the COMPANY invoices in CONTRACT currency and on monthly basis for the WORK performed by end of each month and calculated in accordance with Section 3 – SCHEDULE OF RATES AND PRICES and this Article in the same format as provided in Appendix 5-13 to Section 5 – Administration Instructions. The invoices shall be prepared in both English and Farsi with the same details and information in compliance with local taxation law and regulations. Upon COMPANY instruction, identical English copy of such Farsi invoices shall be provided by CONTRACTOR.

- 22.4 At the beginning of each calendar month, CONTRACTOR shall invoice COMPANY for WORK completed during the previous month in accordance with the CONTRACT and performed VARIATION ORDERS. The invoice may include any compensation due to CONTRACTOR which has not been invoiced previously.

- 22.5 Each invoice shall show separately the individual amounts under each of the headings in Section 3 – Schedule of Rates and Prices with full supporting documents as specified therein in accordance with the format provided in Section 5 – Administration Instructions and shall quote the CONTRACT reference number, title and the COMPANY REPRESENTATIVE as reference indicator.

Each invoice shall be forwarded to the address specified in Section 1 – Form of Agreement.

The CONTRACTOR shall not be entitled to receive any payment on any invoice received by the COMPANY after the time specified in Section 1 – Form of Agreement, Article 3 as the latest time for receipt of invoices. Nevertheless, the COMPANY may, at its sole discretion, make payment against any such invoice.

- 22.6 Within Forty (40) calendar days from receipt of an undisputed invoice (an approved invoice in SAMANEH MO'ADDIAN) by the COMPANY, the COMPANY shall authorize payment of the due amount through a local Letter of Credit (at the sole discretion of the COMPANY) or by depositing the amount into the bank account nominated by the CONTRACTOR and acceptable to the COMPANY.

The following conditions must be met for invoices to be considered undisputed:

- 22.6.1 Prior to submitting any invoice documents, the CONTRACTOR shall officially submit documents according to the Work Performance Appraisal (WPA) for COMPANY approval within Fourteen (14) calendar days from the confirmation of receipt by the COMPANY.

- 22.6.2 After approval of the aforementioned WPA, the COMPANY shall inform the CONTRACTOR within Seven (7) calendar days from the confirmation of receipt by the COMPANY, to formally issue the invoice for the COMPANY's final check and approval.

- 22.6.3 Subsequently, the CONTRACTOR shall register the undisputed invoice in SAMANEH MO'ADDIAN within Seven (7) calendar days.

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- 22.7 If any item(s) included in a monthly invoice submitted by CONTRACTOR is disputed or claimed by COMPANY to be improper or not due, COMPANY will advise CONTRACTOR of such item and of the reason for such disputes within Ten (10) days after receipt of such invoice.

COMPANY reserves the right to withhold payment for such disputed items or parts of an invoice until agreement is reached with CONTRACTOR and related invoice shall be revised or respective credit note provided by the CONTRACTOR.

If any other dispute exists between the PARTIES the COMPANY may withhold from any money which becomes payable under the CONTRACT the amount which is the subject of the dispute.

On settlement of any dispute the CONTRACTOR shall submit an invoice for sums due and the COMPANY shall make the appropriate payment in accordance with the provisions of Article 22.6 above.

- 22.8 Neither the presentation nor payment or non-payment of an individual invoice shall constitute settlement of a dispute (as COMPANY may have raised in accordance with Article 22.7), an accord, a satisfaction, a remedy of account stated or otherwise waive or affect the rights of the PARTIES hereunder.

In particular the COMPANY may correct or modify any sum previously paid in any or all of the following circumstances:

- (a) Any such sum was incorrect;
- (b) Any such sum was not payable to the CONTRACTOR under the terms and conditions of CONTRACT;

- 22.9 If the COMPANY at any time incurs costs which, under the provisions of the CONTRACT, the COMPANY is entitled to recover from the CONTRACTOR, or finds an overpayment made to CONTRACTOR for which CONTRACTOR has not been entitled, the COMPANY may invoice for such costs which shall be a debt due from the CONTRACTOR to the COMPANY and shall forthwith be recoverable by action, provided always that the COMPANY may deduct the amount of such costs from any amount due, or that may become due to the CONTRACTOR under the CONTRACT. The CONTRACTOR shall pay to the COMPANY within thirty (30) days of receipt of an invoice any sums outstanding after such deduction. In case there is no CONTRACTOR due amount or CONTRACTOR fails to pay such COMPANY's invoice, COMPANY shall have the right, at its own discretion, to call the Performance Bank Guarantee or recover such costs from the Retention Money and/ or any CONTRACTOR's due amount without prejudice to its other rights under the CONTRACT or at Law.

- 22.10 For the purpose of Article 22.9 above and elsewhere in the CONTRACT, whenever a PARTY to the CONTRACT indemnifies another PARTY in respect of, or is entitled to recover from another PARTY, any costs incurred then the amount of such costs shall be the amount of all claims, loss, damages, charges, disbursements, costs (including amounts paid to third parties), overheads and expenses directly resulting from the matter in question, but no element of profit.

- 22.11 COMPANY shall make payment to CONTRACTOR in CONTRACT currency or any other alternative currencies, at its sole discretion, considering below:

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- a. The applicable exchange rate for payment of any CONTRACTOR due amount in Iranian Rials (or other foreign currencies) is the daily available Bid TT Exchange Rate published at www.sanarate.ir website under the supervision of Central Bank of Iran, on the date of such payment. However, if such day falls on a day where the rate is not available, the rate quoted immediately before such day shall be used.
 - b. CONTRACTOR shall, in respect of performance of the WORK and its obligations under the CONTRACT, comply with the GOVERNING LAW and any foreign exchange rules and regulations issued by Central Bank of Iran.
 - c. Responsibility for foreign exchange approval, foreign exchange clearance and costs, transfers into other currencies, or foreign bank accounts shall be the full responsibility of the CONTRACTOR. All relevant expenses for transferring money to the introduced CONTRACTOR's bank account shall be at the cost of the CONTRACTOR.
 - d. Date of payment shall be the date of debiting of the funds from the COMPANY's settlement account.
 - e. COMPANY's bank costs/fees are paid by the COMPANY. Costs/fees of CONTRACTOR's bank and correspondent bank shall be paid by the CONTRACTOR.
- 22.12 All invoices other than the final invoice shall be considered as on-account and temporary and COMPANY reserves its right to revise any mistake, calculation (due to contractual misunderstanding), quantities, rates and etc.

ARTICLE 23 - AUDIT RIGHTS OF COMPANY

- 23.1 The CONTRACTOR, and shall ensure that its SUBCONTRACTORS shall, maintain a true and correct set of records pertaining to all activities relating to its performance of the CONTRACT and all transactions related thereto.
- 23.2 Further, the CONTRACTOR shall, and shall ensure that its SUBCONTRACTORS shall, retain all such records, for a period of not less than Forty-Eight (48) months from the end of the calendar year in which the FINAL ACCEPTANCE CERTIFICATE issued by COMPANY or CONTRACT is terminated according to Article 18 - TERMINATION, whichever, where applicable, occurs the later. Any representatives authorized by the COMPANY and / or NIOC may audit any and all such records of the CONTRACTOR and its SUBCONTRACTORS at any time during the term of the CONTRACT and the above-mentioned period (hereafter called Audit Period).
- 23.3 COMPANY and/or NIOC shall have complete and comprehensive access to invoices, documents, records and accounts of the CONTRACTOR, CONTRACTOR's AFFILIATES (as related to the CONTRACT) and CONTRACTOR's SUBCONTRACTORS during normal business hours, in order to review, audit, examine and verify all charges and credits relating to the CONTRACT such as books of accounts, accounting entries, material records and inventories, vouchers, payrolls, statement of accounts and invoices within Audit Period and shall complete such review, audit, examination and verification within such period. The CONTRACTOR shall cooperate fully with the COMPANY and NIOC during the audits performed hereunder, including furnishing COMPANY with copies of all requested documents. The COMPANY shall have the right to obtain statements from the CONTRACTOR's PERSONNEL in the course of such audits.
- 23.4 In the event that some parts of the WORK are performed by CONTRACTOR's AFFILIATES (where applicable) and CONTRACTOR's SUBCONTRACTORS, in accordance with the provision of the CONTRACT, the same type of provisions shall apply to CONTRACTOR's

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AFFILIATES and CONTRACTOR's SUBCONTRACTORS and CONTRACTOR shall ensure that the application of such provision is provided for in the SUBCONTRACTS signed by such CONTRACTOR's Affiliates, CONTRACTOR's SUBCONTRACTORS.

- 23.5 COMPANY, or its nominee shall have access to all CONTRACTOR's records, correspondence, receipts, vouchers and other relevant documentation in order to audit and verify the costs of all items for which CONTRACTOR receives payment on a cost reimbursable basis. COMPANY or its nominee shall have the right to reproduce and retain any of the aforesaid documentation for COMPANY's internal use. For this purpose, CONTRACTOR shall preserve and cause its SUBCONTRACTORS to preserve all of the aforesaid documentation within Audit Period.

ARTICLE 24 - LIENS

- 24.1 The CONTRACTOR agrees that it will not claim any lien charge or the like on the WORK or any property of the COMPANY GROUP handed over to CONTRACTOR for the sake of executing the WORK or at the WORKSITE.
- 24.2 If at any time there shall be evidence of any lien, attachment, charge or claim against the CONTRACTOR to which, if established, the COMPANY or its property might be subjected, the COMPANY shall have the right to retain out of any payment to be made under the CONTRACT an amount sufficient to indemnify the COMPANY completely against such lien, attachment, charge or claim. Should there prove to be any lien, attachment, charge or claim upon the property of the COMPANY GROUP after all payments hereunder have been made the CONTRACTOR agrees to refund to the COMPANY the costs incurred by the COMPANY in discharging any such lien, attachment, charge or claim imposed on the property of the COMPANY in consequence of the default of the CONTRACTOR. The CONTRACTOR shall immediately notify the COMPANY of any possible lien, attachment, charge or claim, which may affect the WORK or any part thereof.
- 24.3 Without prejudice to the provisions of this Article the CONTRACTOR shall be responsible for and shall save, indemnify, defend and hold harmless the COMPANY GROUP from and against all liens, attachments, charges or claims by the SUBCONTRACTORS or persons alleging to be SUBCONTRACTORS in connection with or arising out of the CONTRACT. The COMPANY shall have the right to withhold the amount of any such lien, attachment, charge or claim from any payment to the CONTRACTOR under the CONTRACT until removal of such claim by the SUBCONTRACTORS. If such liens, attachments, charges or claims fall inside the scope of the insurances of the CONTRACTOR, it shall remain the responsibility of the CONTRACTOR to furnish the COMPANY with satisfactory written certification from the insurer of the CONTRACTOR that any such lien, attachment, charge or claim is covered by the insurance of the CONTRACTOR before the COMPANY shall release any money withheld hereunder.
- 24.4 Before withholding any payment due to the CONTRACTOR in accordance with Article 24.3, the COMPANY shall give to the CONTRACTOR a reasonable opportunity to demonstrate that the purported lien, attachment, charge or claim is either unenforceable or is covered by the provisions of an enforceable policy of insurance.
- 24.5 For the purpose of this Article reference to the COMPANY shall include its AFFILIATE(s), as well as NIOC and any of its AFFILIATES.

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ARTICLE 25 - OWNERSHIP

- 25.1 The COMPANY shall retain title to the COMPANY ITEMS and information, including but not limited to TECHNICAL INFORMATION.
- 25.2 All MATERIALS and other ITEMS provided by the CONTRACTOR for incorporation into the WORK as well as DATA shall become the property of the NIOC upon delivery to the WORKSITE or delivery to COMPANY or payment by the COMPANY whichever is the earlier.
- 25.3 The CONTRACTOR shall ensure that all MATERIALS are free from all liens and/or retention of title claims from any third party.
- 25.4 Title in any equipment, MATERIALS and supplies provided by the CONTRACTOR which do not comply with the requirements of the CONTRACT and which are rejected by the COMPANY, shall re-vest immediately in the CONTRACTOR. Title in such items provided by the CONTRACTOR for which no payment has been made by the COMPANY and which are no longer required for the purposes of the CONTRACT shall re-vest in the CONTRACTOR.
- 25.5 COMPANY shall have first option to buy any item(s) of surplus equipment, MATERIAL or supplies from CONTRACTOR at a price to be agreed upon between COMPANY and CONTRACTOR each party acting reasonably in relation to the determination of the price.
- 25.6 All items of COMPANY GROUP property in the possession of the CONTRACTOR shall be suitably marked or clearly identified by CONTRACTOR as the property of the COMPANY GROUP as applicable. As far as possible all such items shall be segregated from other property.

ARTICLE 26 - PROPRIETARY RIGHTS

- 26.1 Title in respect of all DATA prepared by or on behalf of CONTRACTOR or any SUBCONTRACTOR in connection with the WORK shall, upon its preparation or acquisition by CONTRACTOR or SUBCONTRACTOR, vest in COMPANY and NIOC. COMPANY and NIOC shall have the right to use and disclose to any person, with the licence and right of use such DATA for any purpose whatsoever without any obligation of any kind to CONTRACTOR or SUBCONTRACTORS. Any such re-use other than for the PROJECT shall be at COMPANY's sole risk and without liability or legal exposure to CONTRACTOR and COMPANY shall indemnify and hold harmless CONTRACTOR from all claims, damages, losses and expenses including attorney's fees arising out of or resulting there from. The foregoing in this Article 26.1 shall not be construed as a waiver of CONTRACTOR's obligations pursuant to Article 32 - CONFIDENTIALITY.
- 26.2 CONTRACTOR shall keep and store on behalf of COMPANY any and all DATA which COMPANY may reasonably request, by notice to CONTRACTOR, to be kept and stored for a period of up to twelve (12) years, from the date such DATA was made available to COMPANY by CONTRACTOR.
- 26.3 CONTRACTOR shall keep and store such DATA in the manner that a reasonable and prudent contractor performing similar WORK would adopt and, in a manner, no less safe than the manner in which CONTRACTOR keeps and stores its own DATA of a similar nature.

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- 26.4 CONTRACTOR shall, in a timely manner after receiving a request therefore from COMPANY GROUP, provide COMPANY GROUP with copies of any DATA stored by CONTRACTOR, all costs associated with the provision of copies of any DATA shall be borne by COMPANY.
- 26.5 Upon the expiration or termination of the CONTRACT, any and all originals and copies of all DATA in the possession of CONTRACTOR shall be delivered in a timely manner to COMPANY and / or NIOC as and when requested by COMPANY and / or NIOC.
- 26.6 Costs associated with keeping, storing, copying and delivering DATA at the request of and on behalf of COMPANY shall be for the account of COMPANY.
- 26.7 CONTRACTOR shall ensure that in all SUBCONTRACTS appropriate provisions shall be inserted to secure COMPANY's rights as stated above.
- 26.8 All right, title and interest in and to any INTELLECTUAL PROPERTY developed by or on behalf of CONTRACTOR or any SUBCONTRACTOR in connection with the WORK shall, upon its preparation or acquisition by CONTRACTOR or SUBCONTRACTOR, without any liens and encumbrances, exclusively vest in COMPANY and NIOC. COMPANY and NIOC shall have the right to use and disclose to any person, with the licence and right of use such INTELLECTUAL PROPERTY for any purpose whatsoever without any obligation of any kind to CONTRACTOR or SUBCONTRACTORS. Any re-use of such INTELLECTUAL PROPERTY other than for the PROJECT shall be at COMPANY's sole risk and without liability or legal exposure to CONTRACTOR and COMPANY shall indemnify and hold harmless CONTRACTOR from all claims, damages, losses and expenses including attorney's fees arising out of or resulting therefrom. To the extent that COMPANY requires access to and rights of use of data and information (including software) of a proprietary nature (and any INTELLECTUAL PROPERTY related thereto) which is in the free possession of CONTRACTOR (or its SUBCONTRACTOR) prior to the EFFECTIVE DATE and is used by CONTRACTOR (or its SUBCONTRACTOR) in connection with the performance of its obligations under the CONTRACT for the free and unrestricted use of the DATA and INTELLECTUAL PROPERTY, CONTRACTOR undertakes to disclose such DATA and information, and procure that any SUBCONTRACTOR discloses such DATA and information to COMPANY to the extent reasonably required for use of any part of the WORK. CONTRACTOR grants COMPANY the royalty-free, irrevocable, perpetual, transferable, sub-licensable, licence and right to use any such data and information (whether patented or protected by copyright or other intellectual property right or not) for use of any part of the WORK. The foregoing in Articles 26.1 to 26.8 shall not be construed as a waiver of CONTRACTOR's obligations pursuant to Article 32 - CONFIDENTIALITY.
- 26.9 Notwithstanding any other provision of the CONTRACT, all right, title and interest in and to any INTELLECTUAL PROPERTY, including intellectual or industrial property rights, developed by or on behalf of the CONTRACTOR, any SUBCONTRACTOR or acquire vis-à-vis third parties in connection with the WORK shall, upon its preparation or acquisition by the CONTRACTOR or SUBCONTRACTOR, without any liens and encumbrances, exclusively vest in the COMPANY and NIOC. The COMPANY and NIOC shall have the right to use and disclose to any person, with the licence and right of use such INTELLECTUAL PROPERTY for any purpose whatsoever without any obligation of any kind to the CONTRACTOR or SUBCONTRACTORS.
- 26.10 The CONTRACTOR shall be responsible for and shall save, indemnify, defend and hold harmless the COMPANY GROUP, COMPANY REPRESENTATIVE, NIOC and its AFFILIATES

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(and their respective affiliates, directors' officers, employees, consultants and agents) from all claims, losses, damages, costs (including legal costs), expenses, and liabilities of every kind and nature for, or arising out of, any alleged infringement of INTELLECTUAL PROPERTY, arising out of or in connection with:

- (a) The WORK; or
 - (b) The performance of the obligations of the CONTRACTOR under the CONTRACT; or
 - (c) The incorporation or use in the WORK or any part thereof of any item of MATERIALS provided by CONTRACTOR; or
 - (d) The operation and use of the FACILITIES by the COMPANY.
- 26.11 The COMPANY shall be responsible for and shall save, indemnify, defend and hold harmless the CONTRACTOR GROUP from all claims, losses, damages, costs (including legal costs), expenses, and liabilities of every kind and nature for, or arising out of, any alleged infringement of INTELLECTUAL PROPERTY arising out of or in connection with the use by the CONTRACTOR of TECHNICAL INFORMATION or COMPANY ITEMS, DATA or documentation supplied by the COMPANY.
- 26.12 Only insofar as they may manufacture or have manufactured and use any device which is the subject of a patent, or any copyright, protected item, trademark or process provided by the CONTRACTOR or arising out of the WORK then for the purposes of this Article reference to the COMPANY GROUP.

ARTICLE 27 - LIABILITIES AND INDEMNITIES

- 27.1 The CONTRACTOR, at his own expense, shall be responsible for and shall save, indemnify, defend and hold harmless the COMPANY GROUP from and against all claims, losses, damages, costs (including legal costs), expenses and liabilities in respect of:
- (a) Loss of or damage to property of the CONTRACTOR GROUP whether owned, hired, leased or otherwise provided by the CONTRACTOR GROUP arising from or relating to the performance of the CONTRACT; and
 - (b) Personal injury including death or disease to any person employed by the CONTRACTOR GROUP arising from or relating to the performance of the CONTRACT; and
 - (c) Personal injury including death or disease or loss of or damage to the property of any third party arising out of GROSS NEGLIGENCE, NEGLIGENCE, OR WILFUL MISCONDUCT of CONTRACTOR GROUP resulting from or in relation to the CONTRACT.
- 27.2 Without limitation to the CONTRACTOR's other obligations under the CONTRACT and GOVERNING LAW, the CONTRACTOR shall be responsible for the WORK from the EFFECTIVE DATE until the COMPLETION DATE in respect of the whole or the relevant part of the WORK at which date or dates responsibility shall pass to the COMPANY.
- 27.3 The CONTRACTOR shall be responsible for and shall save, indemnify, defend and hold harmless the COMPANY GROUP as well as NIOC and its AFFILIATES from and against any claim of whatsoever nature arising from pollution occurring on the premises of the

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CONTRACTOR GROUP or emanating from the property and equipment of the CONTRACTOR GROUP arising from or relating to the performance of the CONTRACT.

- 27.4 If either PARTY becomes aware of any incident likely to give rise to a claim under the above indemnities, they shall notify the other and both PARTIES shall co-operate fully in investigating the incident.

ARTICLE 28 - INSURANCE BY CONTRACTOR

- 28.1 The CONTRACTOR shall arrange as a minimum the insurances set out in this Article and ensure that they are in full force and effect throughout the duration of the CONTRACT. All such insurances shall be placed with reputable and substantial insurers, acceptable to the COMPANY, and shall for all insurances (including insurances provided by SUBCONTRACTORS) other than Employers Liability Insurance/Workmen's Compensation to the extent of the liabilities assumed by the CONTRACTOR under the CONTRACT, include the COMPANY GROUP as co-insured. All insurances required under this Article shall be endorsed to provide that underwriters waive any rights of recourse, including in particular subrogation rights against the COMPANY GROUP in relation to the CONTRACT to the extent of the liabilities assumed by the CONTRACTOR under the CONTRACT. Such insurances shall also provide that the COMPANY shall be given not less than Thirty (30) days' notice of cancellation of or material change to cover. The provisions of this Article shall in no way limit the liability of the CONTRACTOR under the CONTRACT.
- 28.2 The insurances required in effect under this Article 28 - INSURANCE BY CONTRACTOR shall be legal and valid in all places in which the WORK takes place and shall be as follows:
- (a) Employers Liability and/or (where the jurisdiction of where the WORK is to be performed or under which the employees employed requires the same) Workmen's Compensation insurance covering personal injury to or death of the employees of the CONTRACTOR engaged in the performance of the WORK insurance in an amount not less than [Ref Section 1 – Form of Agreement] per occurrence and in Iranian Rial equivalent at the time of the submission or as required by any applicable legislation, whichever more rigour.
 - (b) All risk insurance covering physical loss or damage to all CONTRACTOR's machinery or equipment or materials used in performance of the WORK. The sum insured in this policy must be equal to the replacement value.
 - (c) CONTRACTOR shall maintain cargo insurance in an amount equal to 120% of the Ex-Work Replacement value of the maximum quantity of the goods or MATERIALS expected to be transported at any time under this CONTRACT provided that such insurance is required as per the Section 4 - Scope of WORK. CONTRACTOR's cargo insurance must provide "all risks" coverage and meet all requirements for such coverage as required by COMPANY.
- 28.3 Without limitation of the CONTRACTOR's obligations and responsibilities, if the CONTRACTOR subcontracts subject to provisions of the CONTRACT any part of the WORK, the responsibility and insurance provisions of each SUBCONTRACT shall be consistent with the CONTRACT and the SUBCONTRACTORS need not carry any insurance, which would duplicate any insurances provided by the CONTRACTOR or the COMPANY.

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- 28.4 The CONTRACTOR and its SUBCONTRACTORS shall not commence the shipment of equipment or materials or commence the WORK at the WORKSITE until all of the insurances that the CONTRACTOR and the SUBCONTRACTORS are required to provide are in force and the necessary certificates have been received by the COMPANY. Prior to commencing the aforesaid activities, the CONTRACTOR shall comply with all the COMPANY's and insurers' requirements including, but not limited to, allowable classes of vessels, maximum value concentrations, reports and claim handling procedures.
- 28.5 CONTRACTOR's liability under the CONTRACT shall not be restricted, limited or altered by any stipulation or arrangements in the CONTRACT with regard to insurance or by any approval by COMPANY of insurance policies except as specifically set out in Articles 26, 27 and 28. All losses and damages for which CONTRACTOR is liable and all the deductibles on all insurances referred to in Articles 27 and 28 shall be for CONTRACTOR's account.
- 28.6 Before commencing the WORK, CONTRACTOR shall and shall procure that SUBCONTRACTORS shall furnish COMPANY with evidence of insurance coverage as required under Article 28.2. CONTRACTOR shall also provide and shall if requested by COMPANY procure that SUBCONTRACTORS provide COMPANY with proof periodically that premiums have been paid in full and, in the case of renewals of such policy or policies, with evidence of renewal promptly upon receipt of the same. CONTRACTOR shall make and shall procure that SUBCONTRACTORS shall make no material alterations to the terms of any policy without prior approval of COMPANY. If an insurer makes (or purports to make) any such alteration, CONTRACTOR shall promptly notify COMPANY of any alteration to the terms of insurance provided.
- 28.7 Should the CONTRACTOR at any time neglect or refuse to provide any insurance required herein, or should any insurance be cancelled, the COMPANY shall have the right to procure such insurance. In such event, the COMPANY shall charge CONTRACTOR with actual incurred cost and expenses plus Ten Percent (10%) as COMPANY indirect cost for procuring the insurance coverage, and the CONTRACT PRICE shall be reduced by the same.
- 28.8 The CONTRACTOR shall supply the COMPANY with evidence that the insurance requirements included in this Article 28 - INSURANCE BY CONTRACTOR, have been complied with at least Fifteen (15) days before the part of the WORK to which the particular insurance relates commences.
- 28.9 In the event that any of the insurances are renewable during the performance of the WORK, the CONTRACTOR shall supply the COMPANY with evidence of renewal of any such insurance at least fifteen (15) working days before the date of expiry.
- 28.10 The existence of insurance policy procured by COMPANY shall not affect the CONTRACTOR' obligation and liability to pay for every and all claims to the full extent of coverage provided, including but not limited to the CONTRACTOR's responsibility for payment of franchise which shall be specified in the insurance policy whenever the loss or damage caused by their NEGLIGENCE, GROSS NEGLIGENCE and/or WILFUL MISCONDUCT.

ARTICLE 29 - NOT APPLICABLE

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ARTICLE 30 - PERMITS, LAWS AND REGULATIONS

- 30.1 The CONTRACTOR shall comply with all GOVERNING LAW and APPROVALS of any governmental or regulatory body having jurisdiction over the WORK and/or the WORKSITE.
- 30.2 The CONTRACTOR shall obtain all licences, permits, temporary permits and authorisations required by the GOVERNING LAW for the performance of the WORK, save to the extent that the same can only be legally obtained by the COMPANY, in which case CONTRACTOR shall provide all necessary assistance, data, documents and information required by it.
- 30.3 The CONTRACTOR shall be liable to, defend, hold harmless and indemnify the COMPANY GROUP for any loss or damage suffered, or any costs or expense incurred, by the COMPANY GROUP as a result of failure by the CONTRACTOR, any SUBCONTRACTOR and any AGENCY PERSONNEL to comply with the foregoing provisions of Article 30 - PERMITS, LAWS AND REGULATIONS.

ARTICLE 31 - CO-ORDINATION WITH OTHERS

- 31.1 For the purpose of the execution of the WORK, the COMPANY shall make the WORKSITE available to the CONTRACTOR in accordance with COMPANY's policies, mandatory plant operating regulations and safety and security regulations each as notified by COMPANY to the CONTRACTOR from time to time and permit the CONTRACTOR access thereto on a non-exclusive basis in accordance with the detailed time schedule. Such access shall be subject always to compliance by the CONTRACTOR with the COMPANY's mandatory plant operating regulations including but not limited to fire alarms, gas alarms, the "Permit To Work" system and the COMPANY's safety and security regulations each as effective from time to time
- 31.2 Unless otherwise specified in this CONTRACT the CONTRACTOR shall on all matters pertaining to the WORK:
- (a) Act as prime initiator and coordinator of contact with Government authorities/agencies, other contractors working for the COMPANY and third parties.
 - (b) Provide appropriate procedures to be used for any contact with such authorities/agencies and other external bodies.
 - (c) Arrange for technical representation at meetings with Government authorities/agencies and certification bodies when required.
 - (d) Request COMPANY assistance, coordination or advice when applicable.
- 31.3 The CONTRACTOR shall at all times co-operate in the co-ordination and integration of the PROJECT with COMPANY and the COMPANY REPRESENTATIVE, and other contractors at the WORKSITE.
- 31.4 The CONTRACTOR shall perform all WORK in such a manner as to cause minimum interference with the operations of COMPANY, any AFFILIATES of COMPANY, COMPANY REPRESENTATIVE or third parties operating at the WORKSITE, and shall take, and cause all of its subcontractors' employees, agents and licensees to take all necessary

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precautions (including those required by COMPANY's safety regulations) to protect the WORKSITE and all persons and property thereon from damage or injury.

ARTICLE 32 - CONFIDENTIALITY

- 32.1 The CONTRACTOR shall at no time without the prior written approval of the COMPANY either:
- (a) Make any publicity releases or announcements concerning the subject matter of the CONTRACT; or
 - (b) Use, reproduce, copy, disclose to, place at the disposal of or use on behalf of any third party or enable any third party to use, peruse or copy any information including but not limited to drawings, data, and computer software which:
 - (i) Is provided to the CONTRACTOR by or on behalf of the COMPANY, its AFFILIATES in or in relation to the CONTRACT; or
 - (ii) Vest in the COMPANY in accordance with the CONTRACT; or
 - (iii) The CONTRACTOR prepares in connection with the WORK.
- 32.2 The provisions of Article 32.1 shall not apply to information which:
- (a) Is or lawfully becomes part of the public domain; or
 - (b) Was in the possession of the CONTRACTOR prior to award of the CONTRACT and which was not subject to any obligation of confidentiality owed to the COMPANY; or
 - (c) Was received from a third party whose possession is lawful and who is under no obligation not to disclose; or
 - (d) was requested by the order of the court or governmental authorities having jurisdiction over the CONTRACTOR, stock exchange or a relevant arbitral tribunal to the extent required by the relevant laws and regulations
 - (e) Is used or disclosed by the CONTRACTOR five (5) years or more after the COMPLETION of the WORK.
- 32.3 The CONTRACTOR shall ensure that the provisions of this Article are incorporated in any SUBCONTRACT and that the officers, employees and agents of the CONTRACTOR and of the SUBCONTRACTORS comply with the same.
- 32.4 All information provided by the CONTRACTOR which the CONTRACTOR wishes to remain confidential shall be clearly marked as confidential provided however that any such information relating to the CONTRACTOR's pricing and trade secrets shall always be treated as confidential by the COMPANY without any necessity on the part of the CONTRACTOR to clearly mark as such. In respect of such confidential information, the COMPANY shall be entitled to:
- (a) Disclose to and authorise use by the COMPANY GROUP for the sole purpose of the CONTRACT; and
 - (b) Disclose pursuant to any statutory or other legal requirement; and

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- (c) Subject to the CONTRACTOR's prior consent, which shall not be unreasonably withheld or delayed, disclose to and authorise using by third parties to the extent necessary for the execution and maintenance of the PROJECT in connection with which the WORK is to be performed.

Notwithstanding the above, the COMPANY shall, and shall ensure that its officers, employees and agents take all reasonable measures to protect confidential information of the CONTRACTOR concerning or arising from the CONTRACT during the term of the CONTRACT and for a period of five (5) years after the expiration or termination of the CONTRACT.

ARTICLE 33 - BUSINESS ETHICS

- 33.1 The CONTRACTOR shall not pay, promise to pay, or offer any fee, commission, material remuneration or other thing of value to or for the benefit of any government official in order to influence an act or decision of the government official in its official capacity, cause the government official to act or fail to act in violation of its lawful duty, or cause the government official to influence an act or decision of the government for the purpose of assisting the COMPANY or its AFFILIATES in obtaining or retaining business, or in violation of any law applicable to the CONTRACTOR GROUP
- 33.2 The CONTRACTOR shall not use any part of the payments hereunder, directly or indirectly, to pay any commission or finder's fee to a third party. The CONTRACTOR shall not give or receive any commission, fee, rebate, gift (except those of nominal value given as sales promotions or holiday remembrances, or the value of reasonable entertainment consistent with local social and business custom) or enter into any business arrangement with any director, employee or agent of the COMPANY or its AFFILIATES without prior written notification to the COMPANY.
- 33.3 The CONTRACTOR warrants and represents that it has not and shall not utilise illegal information brokering in connection with the CONTRACT. The CONTRACTOR will promptly notify the COMPANY if anyone approaches the CONTRACTOR for the purpose of illegal information brokering concerning the CONTRACT or any related business interest of the COMPANY or its AFFILIATES.
- 33.4 The obligations in this Article 33 - BUSINESS ETHICS shall apply to the activities of the CONTRACTOR GROUP in their relations with the COMPANY GROUP's employees and agents and their families and in their relations with government officials and their families in connection with the CONTRACT. The CONTRACTOR shall require its directors, officers, employees and agents, its SUBCONTRACTORS and its SUBCONTRACTORS' directors, officers, employees and agents to comply with the obligations of this Article 33 - BUSINESS ETHICS. This shall include, but not be limited to, establishing precautions to prevent such directors, officers, employees and agents from receiving, making, promising or offering extravagant entertainment or substantial gifts, payments, loans, or other things of inappropriate value from or to such directors, officers, employees, agents or their families.
- 33.5 The CONTRACTOR shall promptly notify the COMPANY if the CONTRACTOR discovers or is advised of any failure to comply with this Article by the CONTRACTOR GROUP. If the CONTRACTOR discovers or is advised of any such failure, the CONTRACTOR and the COMPANY will together review the nature of the failure and the CONTRACTOR shall, if

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and as appropriate, take corrective action. If the failure is related to any charges already invoiced, the CONTRACTOR shall promptly adjust the relevant invoice(s) or refund overpayments, as appropriate.

ARTICLE 34 - CONSEQUENTIAL LOSS

- 34.1 For the purposes of this Article the expression "Consequential Loss" shall mean indirect losses and/or loss of production, loss of product, loss of use and loss of revenue, profit or anticipated profit, arising from or related to the performance of the CONTRACT and whether or not such losses were foreseeable at the time of entering into the CONTRACT.
- 34.2 Notwithstanding any provisions to the contrary elsewhere in the CONTRACT and except to the extent of any agreed LIQUIDATED DAMAGES provided for in the CONTRACT, the COMPANY shall save, indemnify, defend and hold harmless the CONTRACTOR GROUP from the COMPANY GROUP's own Consequential Loss and the CONTRACTOR shall save, indemnify, defend and hold harmless the COMPANY GROUP from the CONTRACTOR GROUP's own Consequential Loss.

ARTICLE 35 - GENERAL LEGAL PROVISIONS

35.1 Assignment of the CONTRACT

- (a) The CONTRACTOR shall assign neither the CONTRACT nor any part of it nor any benefit nor interest in or under it without obtaining the Prior written approval of COMPANY. COMPANY may require CONTRACTOR and/or its assignee to issue a performance guarantee in a mutually agreeable form before approval of any assignment. Such assignment shall not relieve CONTRACTOR from any of its obligations to COMPANY under the CONTRACT. CONTRACTOR and the assignee shall be jointly and severally liable towards COMPANY under this CONTRACT.
- (b) The COMPANY shall be entitled to assign, without the consent or approval of the CONTRACTOR, the CONTRACT or any part of it or any benefit or interest under it to NIOC or its affiliates, any AFFILIATES of COMPANY, or any third party approved by NIOC without any joint or/and several liabilities for the assignment by COMPANY. This assignment shall not relieve CONTRACTOR of any of its obligations and responsibilities under the CONTRACT.
- (c) In respect of the WORK performed or the goods, materials or equipment supplied by the SUBCONTRACTOR, if a SUBCONTRACTOR has undertaken towards the CONTRACTOR any continuing obligation extending beyond the COMPLETION DATE, the CONTRACTOR shall, at the COMPLETION DATE, notify the COMPANY of the continuing obligation and, at the request of the COMPANY, shall assign to the COMPANY the benefit of that obligation for its unexpired duration.

35.2 Waiver

None of the terms and conditions of the CONTRACT shall be considered to be waived by either the COMPANY or the CONTRACTOR unless a waiver is given in writing by one PARTY to the

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other. No failure on the part of either PARTY to enforce any of the terms and conditions of the CONTRACT shall constitute a waiver of such terms.

35.3 Retention of Rights

Subject to the provisions of Article 27 - LIABILITIES AND INDEMNITIES, unless otherwise specifically stated in the CONTRACT, both the COMPANY and the CONTRACTOR shall retain all rights and remedies, both under the CONTRACT and at law, which either may have against the other.

Any approval, consent, comment, advice, review and the like given to the CONTRACTOR under the CONTRACT (or not given, as the case may be) by or on behalf of the COMPANY shall not relieve the CONTRACTOR from any obligation under the CONTRACT.

35.4 Status of COMPANY

The COMPANY enters into the CONTRACT for itself. Without prejudice to any rights that a third party may have under GOVERNING LAW and notwithstanding the above:

- (a) the CONTRACTOR agrees to look only to the COMPANY for the due performance of the CONTRACT and nothing contained in the CONTRACT will impose any liability upon, or entitle the CONTRACTOR to commence any proceedings against any entity other than the COMPANY; and
- (b) the COMPANY is only entitled to enforce the CONTRACT on behalf of itself. For that purpose, the COMPANY may commence proceedings in its own name to enforce all obligations and liabilities of the CONTRACTOR and to make any claim which any member of COMPANY GROUP may have against the CONTRACTOR; and
- (c) all losses, damages, costs (including legal costs) and expenses recoverable by the COMPANY pursuant to the CONTRACT or otherwise shall include the losses, damages, costs (including legal costs) and expenses of COMPANY GROUP members except that such losses, damages, costs (including legal costs) and expenses shall be subject to the same limitations or exclusions of liability as are applicable to the COMPANY or the CONTRACTOR under the CONTRACT.

35.5 Indemnity

Unless otherwise specified under the CONTRACT any indemnity or limitation of liability given by the CONTRACTOR to the COMPANY shall include the AFFILIATES of the COMPANY.

35.6 Independence of the CONTRACTOR

The CONTRACTOR shall act as an independent CONTRACTOR with respect to the WORK and shall exercise control, supervision, management and direction as to the method and manner of obtaining the results required by the COMPANY.

35.7 Governing Law

The construction, application, validity and performance of the CONTRACT shall be governed by the laws of Iran without regard to the Conflict of Law provisions thereof.

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35.8 Notifications

All notices in respect of the CONTRACT shall be given in writing and delivered by hand or by telefax or email to the relevant address specified in Section 1 – Form of Agreement and copied to such other office or offices of the PARTIES as shall from time to time be nominated by them in writing to the other.

Such notices shall be effective:

- (a) If delivered by hand, at the time of delivery if the same is a working day in the place of receipt, otherwise on the next working day; or
- (b) If sent by facsimile, on the first working day at the recipient address following the date of sending.

35.9 Mitigation of Loss

The CONTRACTOR shall take all reasonable steps to mitigate any loss resulting from any breach of CONTRACT by other PARTY.

35.10 Invalidity and Severability

If any provision of this CONTRACT shall be found by any court or administrative body of competent jurisdiction to be invalid or unenforceable, the invalidity or unenforceability of such provision shall not affect the other provisions of this CONTRACT and all provisions not affected by such invalidity or unenforceability shall remain in full force and effect. The COMPANY and the CONTRACTOR hereby agree to attempt to substitute, for any invalid or unenforceable provision, a valid or enforceable provision, which achieves to the greatest possible extent, the economic, legal and commercial objectives of the invalid or unenforceable provision.

35.11 Language of Contract

The CONTRACT language is English.

ARTICLE 36 - RESOLUTION OF DISPUTES

- 36.1 The PARTIES shall endeavour to settle by negotiation any dispute arising out of or in connection with the validity, performance, interpretation or termination of the CONTRACT, and all the consequences thereof. Such dispute shall be duly notified by the claiming PARTY to the other PARTY, in the forms required under the CONTRACT and with due reference to the present Article, and the PARTIES shall endeavour to settle such dispute by negotiation within 30 days from receipt of said notice. In case of failure to settle the dispute by negotiation within the period of time such dispute shall be referred to and finally resolved by arbitration administered by the Tehran Regional Arbitration Centre ("TRAC") in accordance with the Arbitration Rules of the Tehran Regional Arbitration Centre ("TRAC Rules") for the time being in force, which rules are deemed to be incorporated by reference in this Article.
- 36.2 The arbitral tribunal shall be composed of three arbitrators (one from each PARTY and the last one is selected as president by two arbitrators nominated by the PARTIES).

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- 36.3 The place of arbitration shall be Tehran.
- 36.4 The language of the arbitration shall be English or Persian at COMPANY's discretion and choice.
- 36.5 CONTRACTOR shall until the settlement of dispute perform its obligation, duties and responsibilities under the CONTRACT.
- 36.6 The PARTIES shall treat all matters relating to the arbitration as confidential. The PARTIES understand and agree that this confidentiality obligation extends to information concerning the fact of any request for arbitration, and any ongoing arbitration, as well as all matters discussed, discovered, or divulged, (whether voluntarily or by compulsion) during the course of such arbitration proceeding.

ARTICLE 37 - PENALTIES

Penalties shall mean those imposed by the government departments due to the CONTRACTOR or its SUBCONTRACTORS failing to conform with statutory requirements.

ARTICLE 38 - LIQUIDATED DAMAGES

- 38.1 Without prejudice to any other rights of COMPANY stipulated in the CONTRACT, if the CONTRACTOR fails to complete any ACTIVITY in accordance with the relevant KEY DATE in Section 1 – Form of Agreement, and with the conditions mentioned in Article 4.2– Section 3 – Schedule of Rates and Prices, the CONTRACTOR shall be liable to the COMPANY for LIQUIDATED DAMAGES. The amounts of such LIQUIDATED DAMAGES shall be as specified in Section 3 – Schedule of Rates and Prices.
- 38.2 All amounts of such LIQUIDATED DAMAGES for which the CONTRACTOR may become liable shall not be considered neither penalty nor compensation of losses or damages resulted from execution of the CONTRACT by CONTRACTOR or in connection with the mis performance of the CONTRACTOR.
- 38.3 Subject always to the right of COMPANY to terminate the CONTRACT, the payment of LIQUIDATED DAMAGES shall not in any way relieve the CONTRACTOR from any obligations to complete the WORK or from any other obligations and liabilities of the CONTRACTOR under the CONTRACT other than those obligations and liabilities derived from late COMPLETION.
- 38.4 The CONTRACTOR acknowledges that if it fails to pay any amount in respect of the LIQUIDATED DAMAGES and/or any PENALTY and/or any debt to the COMPANY, the COMPANY, for some or all of such amount, may call CONTRACTOR's bank guarantees and retentions including but not limited to Performance Bank Guarantee and or Good Performance Guarantee Retention (or equivalent bank guarantee, as the case maybe) and or any CONTRACTOR's due amount.
- 38.5 In the event that a KEY DATE is not extended due to default of COMPANY such default shall not result in time being at large and the LIQUIDATED DAMAGES shall remain effective subject only to a new KEY DATE being substituted which shall be the original KEY DATE extended by such period as that should have been granted by COMPANY in accordance with the CONTRACT.

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- 38.6 Notwithstanding the provisions of Article 38.2 above, in circumstances where any of the level of damages outlined in this Article 38 - LIQUIDATED DAMAGES as being payable by CONTRACTOR are successfully challenged (or are otherwise deemed in any judicial or arbitral proceedings) as constituting a PENALTY or otherwise cannot be enforced against CONTRACTOR the PARTIES agree that CONTRACTOR's liability to COMPANY for breach of its obligations in Article 38.1 will instead be determined by general damages at law.
- 38.7 The total sum payable as delay LIQUIDATED DAMAGES under the CONTRACT shall not exceed Five percent (5%) of the Ceiling CONTRACT PRICE and as performance LIQUIDATED DAMAGES under the CONTRACT shall not exceed Five percent (5%) of the Ceiling CONTRACT PRICE.
Note: The total sum payable as LIQUIDATED DAMAGES under the CONTRACT shall not exceed Ten percent (10%) of the Ceiling CONTRACT PRICE.

ARTICLE 39 - SURVIVAL

- 39.1 The provisions of the CONTRACT which by their nature are intended to survive the termination, cancellation, COMPLETION or expiration of the CONTRACT, shall continue as valid and enforceable obligations of the PARTIES notwithstanding any such termination, cancellation, COMPLETION or expiration, including but not limited to:
- (a) Article 20 - DEFECTS CORRECTION PERIOD
 - (b) Article 21 - TAXES, DUTIES AND EXEMPTIONS
 - (c) Article 23 - AUDIT RIGHTS OF COMPANY
 - (d) 25.6
 - (e) PROPRIETARY RIGHTS
 - (f) Article 27 - LIABILITIES AND INDEMNITIES
 - (g) Article 32 - CONFIDENTIALITY
 - (h) Article 35.7 - Governing Law
 - (i) Article 36 - RESOLUTION OF DISPUTES
 - (j) Any indemnities and releases or limitations of liability.